Digitalization, Factor-Biased Productivity, and Market Power*

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Abstract

Digitalization can affect firm performance by increasing labor efficiency, improving overall productive efficiency, or changing markups. Separating these channels distinguishes productivity gains from changes in pricing relative to marginal cost, with different implications for firms, workers, and consumers. We develop a sequential estimator that separates labor-augmenting productivity, Hicks-neutral productivity, and markups. Technology is identified from the quantity side before markups are recovered, without imposing constant returns to scale or a particular model of competition. Applying the method to Spanish manufacturing firms over 2000–2019, we find that allowing for market power reverses the ranking of the productivity responses. Under perfect competition, a one-point increase in a multidimensional digitalization index raises Hicks-neutral productivity by 6.2% and labor-augmenting productivity by 3.7%. Under imperfect competition, the responses are 4.3% and 5.5%, and markups rise by 0.7%. On the same firms with paired bootstrap draws, this shift toward labor efficiency is significant, so the competitive benchmark understates the factor bias of digital technologies. Labor-efficiency gains are significantly larger for small firms, even though large firms are the most digitalized. The markup response is about one-eighth of the labor-augmenting response and is significantly smaller in digitally intensive industries.

Keywords: Digitalization, Factor-Biased Productivity, Labor-Augmenting Productivity, Markups, Market Power, Spanish Manufacturing

JEL Classification: D24, L13, L60, O33, J23, C33

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1 Introduction

Firms invest in digital technologies expecting higher productivity. Managers increasingly describe digital adoption as a route to better operating efficiency and financial performance (PwC, 2026; Gartner, 2026). A measured productivity gain, however, can arise through three channels with different beneficiaries. Digital technology may make each hour of work more productive, which raises the marginal product of labor and changes the demand for it. It may make all inputs more productive, which lowers unit costs and can reach buyers through lower prices. It may also allow firms to raise prices relative to marginal cost, which shifts surplus from buyers to firm owners. Which of these channels operates determines whether digitalization is primarily a story about labor efficiency, about cost reductions, or about market power.

Existing evidence does not separate these channels. Most firm-level studies of digitalization estimate a single measure of total factor productivity under perfect competition and therefore treat technological change as Hicks-neutral (Gal et al., 2019; Nucci et al., 2023). This conflates improvements in the efficiency of particular inputs with improvements in overall efficiency. Omitting factor-biased productivity also distorts the output elasticities on which production-based markup estimates rely (Doraszelski and Jaumandreu, 2019; Demirer, 2025). Approaches such as De Loecker and Warzynski (2012) recover markups from output elasticities and revenue expenditure shares, so misspecified elasticities can lead researchers to attribute technological change to market power. Two widely held views also remain untested at the firm level. Large firms adopt considerably more digital technology than small firms, yet it is unclear whether greater adoption yields larger efficiency gains. Digitally intensive industries display higher markups (Calligaris et al., 2018), yet it is unclear whether further adoption raises markups in those industries.

This paper develops an estimator that separates labor-augmenting productivity, Hicks-neutral productivity, and markups, and applies it to Spanish manufacturing firms in the Encuesta Sobre Estrategias Empresariales (ESEE) over 2000–2019. The estimator identifies technology from the quantity side of the model before recovering markups, so it requires neither constant returns to scale nor a particular model of competition. We compare these estimates with a perfect-competition benchmark estimated on the same firms. We measure digitalization with a 13-variable index and four component indices covering IT technologies, digital human capital, automation, and stakeholder-facing technologies, which allows us to ask which technologies operate through which channel.

Our central finding is that allowing for market power reverses the ranking of the two productivity responses to digitalization. Under perfect competition, a one-point increase in the digitalization index raises next-period Hicks-neutral productivity by about 6.2% and labor-augmenting productivity by 3.7%. Under imperfect competition, labor-augmenting productivity rises by 5.5% and Hicks-neutral productivity by 4.3%, while markups rise by 0.7%. When both models are estimated on the same firms with paired bootstrap draws, the shift toward labor-augmenting productivity is significant at the five percent level. Digitalization is therefore biased toward labor efficiency, and the competitive benchmark understates this bias. Because labor-augmenting growth raises output only through the labor elasticity, Hicks-neutral productivity remains the larger contribution to output.

The results also bear on the two views above. Under both specifications, the labor-augmenting response is significantly larger among small firms than among large firms, even though large firms are the most digitalized. Greater adoption therefore need not yield larger incremental gains in labor efficiency. The markup response is about one-eighth of the labor-augmenting response and is significantly smaller in high-digital-intensity industries than in low-digital-intensity industries. Among the components, automation is the only one with a significant markup response, and it also raises labor-augmenting productivity among small firms.

These findings extend the positive relationship between digitalization and productivity documented by Gal et al. (2019) in two ways. They separate labor-augmenting from Hicks-neutral gains, and they show that the relative

size of the two depends on whether market power is allowed. They also qualify the interpretation of the higher markups in digitally intensive industries reported by Calligaris et al. (2018). That study compares markup levels across sectors, whereas we estimate the response of markups to additional adoption by firms. Higher markup levels in digitally intensive industries therefore need not imply a larger markup response to further adoption.

Our methodological contribution addresses the core identification problem. Under imperfect competition, the revenue-share equation identifies only the ratio of the scale parameter ν to the markup. Malikov et al. (2024) address this problem through set identification or firm-level variation in relative input prices. Flynn et al. (2019) impose constant returns to scale, and Demirer (2025) relies on a control function. We instead identify ν and the other technology parameters from the dynamic production equation combined with the law of motion of Hicks-neutral productivity, in which the markup does not appear. Labor-augmenting productivity is then recovered from the ratio of the input first-order conditions, which does not depend on the markup. Only after these steps do revenue shares provide a firm-year markup signal. We assume that productivity and markup innovations are unpredictable given information at $t-1$. Under this timing assumption, the digitalization coefficients measure effects of past adoption, while adoption may still respond to past productivity (Doraszelski and Jaumandreu, 2018). A final state-space step produces smoothed firm-year productivity and markup series, conditional on additional covariance restrictions.

The findings also inform the evaluation of digital adoption policies. The stronger labor-augmenting response among small firms motivates examining support that improves their access to digital technologies and relevant skills. The component estimates highlight IT technologies, digital human capital, and automation as potential areas of support. Establishing whether these productivity gains benefit workers and consumers requires additional evidence on wages, employment, prices, and adoption costs. Our estimates provide quantitative benchmarks for such assessments.

The rest of the paper is organized as follows. Section 2 reviews the related literature. Section 3 describes the data and digitalization measures. Section 4 presents the model. Section 5 sets out identification and estimation. Section 6 reports the empirical results, Section 7 examines diagnostics and robustness, and Section 8 discusses policy implications. Section 9 concludes.

2 Related Literature

This paper relates to four literatures: the productivity effects of digitalization, factor-biased technological change, production-based markup estimation, and the relationship between digitalization and market power.

The first literature studies how information and communication technologies and broader digital adoption affect productivity. Early firm- and industry-level studies generally find positive effects of IT investment on productivity (Brynjolfsson and Yang, 1996; Brynjolfsson and Hitt, 2000; Stiroh, 2005; Draca et al., 2008). Other studies find weak or insignificant effects. Acemoglu et al. (2014) find little evidence of faster productivity growth in IT-intensive U.S. manufacturing industries outside the computer-producing sector, and studies of broadband adoption report similarly mixed results (Bertschek et al., 2015; Haller and Lyons, 2015; DeStefano et al., 2018).

More recent work uses broader measures of digital adoption. Gal et al. (2019) relate industry adoption of digital technologies to firm-level multifactor productivity in European countries, Nucci et al. (2023) use matching and difference-in-differences on Italian firms, and Cusolito (2020) study firms in developing countries. These studies measure productivity as a single residual and therefore cannot tell whether digitalization makes labor more efficient or makes all inputs more efficient. Much of this literature also measures digitalization through a single indicator such as ICT spending or IT capital (Brynjolfsson and Hitt, 1996; Jorgenson, 2001; Bertschek and Kaiser, 2004), an

approach whose limitations earlier work documents (Black and Lynch, 2001). Following Añón Higón and Bonvin (2024), we combine 13 variables from the ESEE into an overall index and four component indices, which allows different technologies to operate through different channels.

The second literature shows that technological change is often not Hicks-neutral. Doraszelski and Jaumandreu (2018) recover labor-augmenting productivity from the ratio of input first-order conditions and find that technological change in Spanish manufacturing is biased toward labor. Raval (2019) and Zhang (2019) document substantial firm-level differences in labor-augmenting productivity and show that these differences matter for factor demand and the labor share. This literature generally assumes perfect competition in the output market or treats the markup as known. We extend it by allowing markups to vary across firms and over time, and by asking how digitalization shifts labor-augmenting productivity relative to Hicks-neutral productivity once market power is accounted for.

The third literature estimates markups from production data. De Loecker and Warzynski (2012) recover the markup as the ratio of a flexible input's output elasticity to its revenue expenditure share, without specifying the form of product-market competition. The resulting estimates are only as reliable as the estimated output elasticities. Raval (2023) shows that markups estimated from labor and from materials are negatively correlated across firms and that labor-augmenting productivity differences can explain this pattern. Demirer (2025) shows that ignoring labor-augmenting productivity biases output elasticities and therefore markups, and proposes a control-function estimator.

Doraszelski and Jaumandreu (2019) combine cost-minimization conditions with a restricted translog technology that accommodates labor-augmenting and Hicks-neutral productivity. They also show that unobserved markups complicate the inversion of productivity under imperfect competition. The central identification problem is that revenue shares identify only the ratio of the scale parameter to the markup. Flynn et al. (2019) resolve it with prior knowledge of returns to scale, or by imposing constant returns when such knowledge is unavailable. Malikov et al. (2024) use set identification or firm-level variation in relative input prices, and Kumbhakar et al. (2012) estimate market power within a stochastic-frontier framework that does not require input-price data. Our estimator retains both productivity dimensions but identifies technology from the dynamic production equation, in which the markup does not appear, before constructing the markup signal. It therefore point-identifies technology without imposing constant returns to scale or a model of competition.

The fourth literature links digital technologies to market power. Aggregate markups have risen in many economies (De Loecker et al., 2020), and part of this rise has been attributed to the reallocation of activity toward large, highly productive firms (Autor et al., 2020). Calligaris et al. (2018) find that markups are higher in digitally intensive sectors across 26 countries over 2001–2014 and that the gap relative to other sectors widened over the period. These studies compare markup levels across firms, sectors, or time. We instead estimate how markups respond to additional digital adoption within firms, while allowing productivity to be factor-biased. A smaller markup response in digitally intensive industries can therefore coexist with higher markup levels in those industries.

3 Data

We use the Encuesta Sobre Estrategias Empresariales (ESEE), an annual panel of Spanish manufacturing firms covering 2000–2019. The survey reports output, inputs, digital technology variables, changes in input and output prices, and other firm characteristics. After cleaning and applying the lag requirements, the overall PC estimation sample with the overall index contains 2,213 firms and 17,087 firm-year observations. We retain firms with at least three usable observations in the relevant estimation sample. Sample size varies across specifications because of lag

requirements and data availability. We classify firms with fewer than 200 workers as small and firms with at least 200 workers as large. Table 2 reports the corresponding numbers of observations and firms.

The ESEE reports changes in output and materials prices rather than price levels. Following Jaumandreu and Lin (2018), we construct Paasche price indices for each firm. Separate indices are constructed for output and intermediate inputs. We use these indices to convert nominal production and intermediate input expenditures into real quantities.

Real output is nominal production of goods and services divided by the firm-specific output price index. We construct real capital using the perpetual inventory method with an annual depreciation rate d_K of 0.15. With PI_t equal to the investment-price index divided by 100, we have

$$K_{it} = (1 - d_K)K_{i,t-1} + \frac{I_{i,t-1}}{PI_t}.$$

Investment made in period $t-1$ enters capital used in period t; we deflate lagged investment by the current-year investment-price index. At the start of each available consecutive-year spell, we initialize capital using positive reported real net capital when available.

Materials are measured by total intermediate consumption. This includes raw materials, energy, and purchased services. We deflate nominal expenditures by the firm-specific intermediate input price index. The resulting measure captures changes in real materials rather than changes in expenditure caused only by prices.

Labor is measured by total hours worked. The hourly wage equals total labor compensation divided by total hours. This separates the quantity of labor from the price of labor services. We do not use the wage as a measure of labor efficiency. Labor efficiency is recovered from the model under the maintained identification assumptions.

3.1 Digitalization Indices

We construct a multidimensional digitalization index following Añón Higón and Bonvin (2024). The index contains 13 variables grouped into four components. The IT technology component includes investment in computer equipment and the use of external software programming services. The digital human capital component measures external expenditure on employee training in computing and information technologies. The automation component covers the use of industrial robots, computer-aided design, flexible manufacturing systems, local area networks, and CNC machine tools. The stakeholder interaction component includes ownership of an internet domain, a company webpage, online sales to businesses and consumers, and purchases from suppliers through the internet. We include CNC machine tools to reflect the ESEE manufacturing setting.

We construct each digitalization measure according to the type of survey variable. Monetary variables are converted to real values, while categorical variables are converted into indicator variables. The two monetary variables are investment in computer equipment and external expenditure on IT training. The ESEE reports computer equipment investment as a percentage of total capital goods investment. We convert this percentage into an absolute flow by multiplying it by total capital goods investment. We then convert both monetary flows into stocks using the perpetual inventory method with a 15% depreciation rate. Each stock is divided by its industry and year mean. We assign the resulting relative stock to a decile and rescale it as $(d-1)/9$, where $d \in \{1, \ldots, 10\}$. The resulting scores lie between zero and one.

The categorical variables are survey adoption codes rather than ordered measures of intensity. Six variables are observed every four years: robots, CAD, flexible manufacturing systems, LAN, CNC machine tools, and external software programming services. After converting these variables to binary indicators, we carry an observed response

forward for at most three years within a firm. This fills the years between survey waves. It does not replace an explicit missing response or nonresponse code. The five stakeholder variables are observed annually and remain binary after recoding.

The overall index is the unweighted sum of the 13 transformed variables. At the final aggregation stage, we set a missing transformed component to zero. We then normalize the raw sum to a scale from zero to one using its minimum and maximum values. A higher value indicates a broader and more intensive digital presence. We construct the four component indices in the same way.

We classify industries as low or high digital intensity using Calvino et al. (2018).[1] This classification reflects a firm's industry, not its own digitalization score. Firm-size groups use the fewer-than-200-worker threshold defined above. We estimate the model separately for these groups and for the pooled sample.

3.2 Summary Statistics

Table 1 presents summary statistics for output, inputs, and prices across 17,087 firm-year observations. Mean real gross output is 51.3 million euros, compared with a median of 10.1 million euros and a standard deviation of 102.9 million euros. Real capital and materials average 12.4 million and 36.2 million euros, respectively, with corresponding medians of 2.0 million and 6.5 million euros. Annual labor input averages approximately 314 thousand hours per firm, with a median of 101 thousand hours and a standard deviation of 483.5 thousand hours. Across these variables, means substantially exceed medians, and standard deviations exceed means, indicating considerable heterogeneity in production scale and suggesting right-skewed distributions.

Price indices show less relative dispersion than output and input quantities. The output price index averages 1.008, with a standard deviation of 0.094, whereas the materials price index averages 1.038, with a standard deviation of 0.153. Nominal hourly wages average 19.29 euros, with a median of 18.35 euros; the middle half of observations lies between 13.68 and 23.72 euros per hour. The capital investment-price index averages 0.831, with a standard deviation of 0.089. These statistics describe variation across the pooled firm-year sample and therefore reflect both differences across firms and changes over time.

Table 1: Summary statistics for output, inputs, and prices

Variable	Observations	Mean	SD	P25	Median	P75
Real gross output (million)	17,087	51.326	102.912	2.396	10.083	47.380
Real capital (million)	17,087	12.412	25.570	0.433	2.042	11.004
Labor (thousand hours)	17,087	313.972	483.489	41.000	101.000	378.833
Real materials (million)	17,087	36.206	74.528	1.400	6.495	32.338
Output price index	17,087	1.008	0.094	0.953	0.996	1.051
Materials price index	17,087	1.038	0.153	0.948	1.014	1.112
Nominal hourly wage (hour)	17,087	19.287	7.458	13.678	18.347	23.724
Capital investment-price index	17,087	0.831	0.089	0.749	0.862	0.912

Notes: Statistics use the overall PC estimation sample. Real output and materials are nominal values divided by their firm-specific price indices. The hourly wage is total personnel cost divided by total hours. The final row reports the investment-price index for the same observations. Monetary values are displayed in the units indicated in each row.

Table 2 reports summary statistics for the digitalization measures together with sample coverage. The overall estimation with the overall index uses 17,087 firm-year observations from 2,213 firms. The estimation with the four component indices uses 15,874 observations from 2,140 firms. The table reports the corresponding counts for each

[1]The low-digital group comprises metals and metal products, non-metallic minerals, chemical products, food, beverages and tobacco, and textiles, leather and footwear. The high-digital group comprises agricultural and industrial machinery, electrical goods, transport equipment, timber and furniture, and paper and printing. Other manufacturing is excluded from the industry comparisons.

group. Differences across specifications reflect sample cleaning, data availability, and lag requirements. The size and industry classifications follow Section 3.1; the table reports coverage for each estimation sample.

The mean overall digitalization index is 0.356 in the overall sample. The mean is 0.291 for small firms and 0.526 for large firms. Large firms also have higher means for all four component indices. The largest difference is in digital human capital, with means of 0.151 for small firms and 0.611 for large firms. Differences across industry groups are smaller. The mean overall index is 0.334 in low-digital industries and 0.394 in high-digital industries. These comparisons are descriptive and are based on the relevant estimation samples.

The component scores combine binary adoption measures with transformed expenditure stocks. A zero score for digital human capital does not necessarily imply that a firm provides no training. It may reflect the lowest relative stock category or the treatment of a missing component. The scores therefore measure relative digitalization rather than physical technology stocks or adoption probabilities.

Table 2: Digitalization summary statistics and estimation-sample coverage

Measure	Observations	Firms	Mean	SD	P25	Median	P75
Overall							
Overall index	17,087	2,213	0.356	0.208	0.187	0.346	0.508
IT technologies	15,874	2,140	0.431	0.325	0.143	0.375	0.714
Digital human capital	15,874	2,140	0.276	0.369	0.000	0.000	0.500
Automation	15,874	2,140	0.388	0.324	0.200	0.400	0.600
Stakeholder-facing	15,874	2,140	0.328	0.232	0.200	0.400	0.400
Small firms							
Overall index	12,246	1,689	0.291	0.181	0.154	0.275	0.421
IT technologies	11,389	1,625	0.334	0.284	0.100	0.250	0.556
Digital human capital	11,389	1,625	0.151	0.273	0.000	0.000	0.250
Automation	11,389	1,625	0.314	0.293	0.000	0.200	0.600
Stakeholder-facing	11,389	1,625	0.297	0.224	0.200	0.200	0.400
Large firms							
Overall index	4,343	546	0.526	0.183	0.385	0.529	0.663
IT technologies	3,988	525	0.691	0.282	0.444	0.786	0.944
Digital human capital	3,988	525	0.611	0.385	0.286	0.714	1.000
Automation	3,988	525	0.580	0.323	0.400	0.600	0.800
Stakeholder-facing	3,988	525	0.414	0.247	0.200	0.400	0.600
Low-digital industries							
Overall index	10,610	1,374	0.334	0.204	0.171	0.321	0.485
IT technologies	9,871	1,328	0.425	0.325	0.143	0.375	0.714
Digital human capital	9,871	1,328	0.270	0.368	0.000	0.000	0.500
Automation	9,871	1,328	0.348	0.315	0.000	0.200	0.600
Stakeholder-facing	9,871	1,328	0.315	0.229	0.200	0.400	0.400
High-digital industries							
Overall index	5,883	789	0.394	0.208	0.240	0.387	0.538
IT technologies	5,459	762	0.442	0.325	0.167	0.389	0.750
Digital human capital	5,459	762	0.288	0.367	0.000	0.000	0.600
Automation	5,459	762	0.459	0.327	0.200	0.400	0.800
Stakeholder-facing	5,459	762	0.351	0.236	0.200	0.400	0.400

Notes: Statistics use the PC estimation samples. Digital indices are winsorized within each sample and year at the 2.5th and 97.5th percentiles. Nominal expenditures, price indices, and real quantities follow the definitions in Section 3. Firms may appear in more than one subgroup over time.

4 Model

The PC and IPC specifications share the restricted production technology, input-price-taking assumptions, and timing of the output shock. They differ in the output market and the identifying equations used for estimation. The main IPC estimator uses dynamic moment restrictions; the additional covariance restrictions are required only for the supplementary state-space decomposition.

4.1 Technology

Firm i produces gross output at time t using predetermined capital K_{it}, freely variable labor L_{it}, and freely variable materials M_{it}. The production technology is given by

$$Y_{it} = Y_{it}^* e^{\eta_{it}} = F(K_{it}, e^{\omega_{L,it}} L_{it}, M_{it})\, e^{\omega_{N,it}+\eta_{it}}, \tag{1}$$

where η_{it} is a productivity shock unobserved by all agents, $\omega_{L,it}$ is labor-augmenting productivity, and $\omega_{N,it}$ is Hicks-neutral productivity. Both $\omega_{N,it}$ and $\omega_{L,it}$ are known to the firm when inputs are chosen, whereas η_{it} is realized after inputs are chosen. We assume $\mathbb{E}[\eta_{it} \mid \mathcal{I}_{it}] = 0$ and define

$$\theta \equiv \mathbb{E}[e^{\eta_{it}} \mid \mathcal{I}_{it}]\,, \tag{2}$$

which is assumed to be constant across firms and over time.

We use the lower-case letters as natural logarithms of their upper-case counterparts, and write $l_{it}^* \equiv l_{it} + \omega_{L,it}$ for effective labor in logs. The firm's information set $\mathcal{I}_{it}$ contains K_{it}, $\omega_{L,it}$, $\omega_{N,it}$, all input prices, and the entire history of these variables.

We assume $\ln F(\cdot)$ to be translog:

$$\begin{aligned}\ln F(K_{it}, L_{it}^*, M_{it}) = \alpha_0 + \beta_K k_{it} + \beta_L l_{it}^* + \beta_M m_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \tfrac{1}{2}\beta_{LL}(l_{it}^*)^2 + \tfrac{1}{2}\beta_{MM} m_{it}^2 \\ + \beta_{KL} k_{it} l_{it}^* + \beta_{KM} k_{it} m_{it} + \beta_{ML} m_{it} l_{it}^*.\end{aligned} \tag{3}$$

Following Doraszelski and Jaumandreu (2019) and Malikov et al. (2024) (MZZ), we impose separability of capital from the two variable inputs, which requires $\beta_{KL} = \beta_{KM} = 0$. We further impose homogeneity of degree ν in effective labor and materials, which requires $\beta_{LL} + \beta_{ML} = 0$ and $\beta_{MM} + \beta_{ML} = 0$. Denoting $\delta \equiv \beta_{ML}$, these restrictions imply $\beta_{LL} = \beta_{MM} = -\delta$, and we define the degree of homogeneity as

$$\nu \equiv \beta_L + \beta_M. \tag{4}$$

Under these restrictions, the technology can be written as

$$y_{it}^* = \alpha_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \beta_M m_{it} + \beta_L(l_{it} + \omega_{L,it}) - \tfrac{1}{2}\delta(m_{it} - l_{it} - \omega_{L,it})^2 + \omega_{N,it}. \tag{5}$$

4.2 Output elasticities

Differentiating (5) at fixed $\omega_{L,it}$ gives the observation-specific output elasticities

$$\varepsilon_{it}^L = \beta_L + \delta(m_{it} - l_{it} - \omega_{L,it})\,, \tag{6}$$

$$\varepsilon_{it}^M = \beta_M - \delta(m_{it} - l_{it} - \omega_{L,it})\,, \tag{7}$$

$$\varepsilon_{it}^K = \beta_K + \beta_{KK} k_{it}. \tag{8}$$

Homogeneity implies that the elasticity with respect to a proportional change in labor and materials is a constant,

$$\varepsilon_{it}^L + \varepsilon_{it}^M = \nu. \tag{9}$$

4.3 PC model

The benchmark is a perfectly competitive (PC) model in which the firm takes the output price P_{it}^Y as given. Our estimation of this benchmark follows Malikov et al. (2024) (MZZ).

Under perfect competition, the firm's profit is:

$$\pi = P_{it}^Y F(K_{it}, e^{\omega_{L,it}} L_{it}, M_{it})\, e^{\omega_{N,it}+\eta_{it}} - P_{it}^L L_{it} - P_{it}^M M_{it} \tag{10}$$

Since η affects realized output, the first-order conditions (FOCs) of expected profit maximization over L_{it} and M_{it} imply

$$P_{it}^Y\, \theta\, \varepsilon_{it}^L \frac{e^{y_{it}^*}}{L_{it}} = P_{it}^L, \tag{11}$$

$$P_{it}^Y\, \theta\, \varepsilon_{it}^M \frac{e^{y_{it}^*}}{M_{it}} = P_{it}^M. \tag{12}$$

We now define the revenue shares and their sum,

$$s_{it}^L = \frac{P_{it}^L L_{it}}{P_{it}^Y Y_{it}}, \qquad s_{it}^M = \frac{P_{it}^M M_{it}}{P_{it}^Y Y_{it}}, \qquad R_{it} = s_{it}^L + s_{it}^M. \tag{13}$$

Dividing (11) and (12) by revenue $P_{it}^Y Y_{it}$, adding, and using (9) gives the share equation

$$\ln R_{it} = \ln(\theta\nu) - \eta_{it}. \tag{14}$$

Taking the ratio of (11) and (12) gives

$$\frac{P_{it}^L L_{it}}{P_{it}^M M_{it}} = \frac{\varepsilon_{it}^L}{\varepsilon_{it}^M} = \frac{\beta_L + \delta(m_{it} - l_{it} - \omega_{L,it})}{\beta_M - \delta(m_{it} - l_{it} - \omega_{L,it})}. \tag{15}$$

The output price, Hicks-neutral productivity, θ, and η_{it} all cancel.

Solving (15) gives

$$\delta(m_{it} - l_{it} - \omega_{L,it}) = \beta_M SC_{it}^L - \beta_L SC_{it}^M = \nu SC_{it}^L - \beta_L, \tag{16}$$

and hence the labor-augmenting-productivity term can be expressed as

$$\omega_{L,it} = m_{it} - l_{it} + \frac{\beta_L}{\delta} - \frac{\nu}{\delta} SC_{it}^L. \tag{17}$$

where labor share of total variable cost is

$$SC_{it}^L = \frac{P_{it}^L L_{it}}{P_{it}^L L_{it} + P_{it}^M M_{it}}, \Rightarrow SC_{it}^M = 1 - SC_{it}^L. \tag{18}$$

Substituting (16) into (6)–(7) yields the identities

$$\varepsilon_{it}^L = \nu SC_{it}^L, \qquad \varepsilon_{it}^M = \nu SC_{it}^M. \tag{19}$$

Equations (17) and (19) are implications of the restricted translog with two variable inputs. They hold in both market environments studied below, because a markup common to the two conditions cancels from the ratio. This

common inversion is the point at which our extension connects to the competitive benchmark.

Substituting (16) into (5) and collecting terms concentrates effective labor out of the production function:

$$y_{it}^{*} = \kappa_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \nu\, m_{it} - \frac{\nu^2}{2\delta}\left(SC_{it}^{L}\right)^2 + \omega_{N,it}, \qquad \kappa_0 = \alpha_0 + \frac{\beta_L^2}{2\delta}. \tag{20}$$

Equation (20) expresses output in terms of ν, δ, and the composite intercept κ_0.

To estimate the competitive benchmark model outlined above, we adopt the following three-step procedure.[2]

4.3.1 Step 1: Estimation of θ, ν and prediction of η_{it}

Let N_{obs} denote the number of firm-years of observations. Because $\mathbb{E}[\eta_{it}] = 0$, the sample analogues of (14) are

$$\widehat{\eta}_{it} = \overline{\ln R} - \ln R_{it}, \tag{21}$$

$$\widehat{\theta} = \frac{1}{N_{\text{obs}}} \sum_{it} \exp(\widehat{\eta}_{it})\,, \tag{22}$$

$$\widehat{\nu} = \frac{\exp\left(\overline{\ln R}\right)}{\widehat{\theta}}. \tag{23}$$

The first step therefore identifies $\nu = \beta_L + \beta_M$ and θ and gives a prediction of η_{it}.

4.3.2 Step 2: Prediction of labor-augmenting productivity

Let $\mathbf{D}_{it}$ collect the firm's digitalization measures. We assume that labor-augmenting productivity follows the following law of motion

$$\omega_{L,it} = \rho_L \omega_{L,i,t-1} + \boldsymbol{\gamma}_L' \mathbf{D}_{i,t-1} + \xi_{L,it}, \qquad \mathbb{E}[\xi_{L,it} \mid \mathcal{I}_{i,t-1}] = 0. \tag{24}$$

The equation contains no separate intercept because a constant is not separately identified from β_L/δ. Substituting the proxy (17) at t and $t-1$ produces the term $(1-\rho_L)\beta_L/\delta$, which plays the role of the intercept.

Step 2 estimates the law of motion in (24). Since $\omega_{L,it}$ is unobserved, we replace it using the labor productivity proxy in (17). Substituting the proxy at t and $t-1$ gives

$$\begin{aligned}\xi_{L,it} = {} & (m_{it} - l_{it}) + \frac{\beta_L}{\delta} - \frac{\nu}{\delta} SC_{it}^{L} \\ & - \rho_L \left[(m_{i,t-1} - l_{i,t-1}) + \frac{\beta_L}{\delta} - \frac{\nu}{\delta} SC_{i,t-1}^{L}\right] - \boldsymbol{\gamma}_L' \mathbf{D}_{i,t-1}.\end{aligned} \tag{25}$$

This equation serves as a proxy for the innovation term. We estimate the parameter vector $\left(\frac{\beta_L}{\delta}, \frac{\nu}{\delta}, \rho_L, \boldsymbol{\gamma}_L'\right)'$ by nonlinear GMM. The instrument vector is

$$\mathbf{Q}_{L,it} = \left(1,\, m_{i,t-1} - l_{i,t-1},\, SC_{i,t-1}^{L},\, \mathbf{D}_{i,t-1}'\right)', \tag{26}$$

which contains a constant, the lagged input ratio, the lagged labor cost share, and the lagged digitalization variables. The corresponding moment conditions are

$$\mathbb{E}\left[\mathbf{Q}_{L,it}\, \xi_{L,it}\left(\frac{\beta_L}{\delta}, \frac{\nu}{\delta}, \rho_L, \boldsymbol{\gamma}_L\right)\right] = \mathbf{0}. \tag{27}$$

[2]For details on the estimation of the restricted translog model with factor-biased productivity, see Malikov et al. (2024).

The number of instruments equals the number of parameters in this block. Step 2 is therefore exactly identified under the maintained exclusion and rank conditions.

Since $\xi_{L,it}$ does not contain Y_{it}, the variables dated $t-1$ in (26) are valid instruments under the maintained information assumptions. Thus Step 2 provides estimates of β_L/δ and ν/δ, together with ρ_L and $\boldsymbol{\gamma}_L$. Step 1 has already identified $\nu = \beta_L + \beta_M$. We can therefore recover the production function effects as

$$\widehat{\delta} = \frac{\widehat{\nu}}{\widehat{(\nu/\delta)}}, \qquad \widehat{\beta}_L = \widehat{(\beta_L/\delta)}\widehat{\delta}, \qquad \widehat{\beta}_M = \widehat{\nu} - \widehat{\beta}_L. \tag{28}$$

Thus, the first two steps identify δ, β_L, and β_M, as well as the persistence and digitalization parameters in the law of motion for labor-augmenting productivity.

4.3.3 Step 3: Hicks-neutral productivity

Hicks-neutral productivity follows

$$\omega_{N,it} = \rho_{0N} + \rho_N \omega_{N,i,t-1} + \boldsymbol{\gamma}_N' \mathbf{D}_{i,t-1} + \xi_{N,it}, \qquad \mathbb{E}[\xi_{N,it} \mid \mathcal{I}_{i,t-1}] = 0. \tag{29}$$

Two representations of $\omega_{N,it}$ are available. From the production function,

$$y_{it}^{\dagger} \equiv y_{it} - \beta_M m_{it} - \beta_L(l_{it} + \omega_{L,it}) + \tfrac{1}{2}\delta(m_{it} - l_{it} - \omega_{L,it})^2 = \alpha_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \omega_{N,it} + \eta_{it}. \tag{30}$$

Using (30) we express

$$\omega_{N,it} = y_{it}^{\dagger} - [\alpha_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \eta_{it}] \tag{31}$$

Alternatively, we can use materials demand to proxy for unobserved Hicks-neutral productivity. Solving (12) for $\omega_{N,it}$ gives the materials-demand inversion

$$\begin{aligned} m_{it}^{\dagger} \equiv\ & \left(p_{it}^M - p_{it}^Y\right) - \ln\theta - \ln[\beta_M - \delta(m_{it} - l_{it} - \omega_{L,it})] + (1-\beta_M)\, m_{it} \\ & - \beta_L(l_{it} + \omega_{L,it}) + \tfrac{1}{2}\delta(m_{it} - l_{it} - \omega_{L,it})^2 = \alpha_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \omega_{N,it}, \end{aligned} \tag{32}$$

where p_{it}^M and p_{it}^Y are log input and output prices. We can use (32) to express $\omega_{N,it}$ which is

$$\omega_{N,it} = m_{it}^{\dagger} - [\alpha_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2]. \tag{33}$$

The inversion (33) does not contain Y_{it} and is therefore free of η_{it}, which is precisely why it, rather than (31), is used to replace lagged Hicks-neutral productivity. Substituting $\omega_{N,i,t-1} = m_{i,t-1}^{\dagger} - \alpha_0 - \beta_K k_{i,t-1} - \frac{1}{2}\beta_{KK} k_{i,t-1}^2$ into (29) and then into (30) gives

$$\begin{aligned} y_{it}^{\dagger} = {} & \pi_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k_{it}^2 + \rho_N \left[m_{i,t-1}^{\dagger} - \beta_K k_{i,t-1} - \tfrac{1}{2}\beta_{KK} k_{i,t-1}^2\right] \\ & + \boldsymbol{\gamma}_N' \mathbf{D}_{i,t-1} + \xi_{N,it} + \eta_{it}, \end{aligned} \tag{34}$$

where $\pi_0 = \rho_{0N} + (1-\rho_N)\alpha_0$. This specification follows in the Doraszelski and Jaumandreu (2019), Malikov et al. (2024). We estimate this equation by profiled nonlinear least squares in $(\beta_K, \beta_{KK}, \pi_0, \rho_N, \boldsymbol{\gamma}_N)$, holding the step-1 and step-2 estimates fixed. Because the composite error is $\xi_{N,it} + \eta_{it}$ and k_{it} is predetermined, no additional instruments are required. In particular, competitive Step 3 has no $\mathbf{Q}_{N,it}$ instrument vector: it is profiled nonlinear least squares,

not an IV or GMM. Standard errors for the full sequence are obtained by a firm-level block bootstrap in which all three steps are re-estimated.

The two productivity series are recovered observation by observation as

$$\widehat{\omega}_{L,it} = m_{it} - l_{it} + \frac{\widehat{\beta}_L}{\widehat{\delta}} - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{it}, \tag{35}$$

$$\widehat{\omega}_{N,it} = \widehat{m}^{\dagger}_{it} - [\widehat{\alpha}_0 + \widehat{\beta}_K k_{it} + \tfrac{1}{2}\widehat{\beta}_{KK} k^2_{it}] \tag{36}$$

4.4 IPC model

The IPC extension retains exactly the same output-shock structure as the PC benchmark. The firm chooses labor and materials before η_{it} is realized, using the expected profit maximization behavior under the conditional expectation $\theta = \mathbb{E}[e^{\eta_{it}} \mid \mathcal{I}_{it}]$.

The IPC share equation confounds ν with the markup. We therefore identify technology from the dynamic production equation before using revenue shares to construct a markup signal, as detailed in Section 5.5.

Under the imperfect competition, the firm faces downward-slopping demand curve, and profit is:

$$\pi = P(Y,Z)^Y_{it} F(K_{it}, e^{\omega_{L,it}} L_{it}, M_{it})\, e^{\omega_{N,it}+\eta_{it}} - P^L_{it} L_{it} - P^M_{it} M_{it} \tag{37}$$

where z_{it} denotes demand shifters.

4.4.1 FOCs and markup identification

To model markup, we assume that firm i faces the inverse demand function $P_{it} = P(Y^*_{it}, z_{it})$, where z_{it} denotes demand shifters. Because the multiplicative shock is realized after variable inputs are chosen, expected-profit maximization introduces the same factor θ as in the PC benchmark. Writing MC_{it} for marginal cost and markup $\mu_{it} = P_{it}/MC_{it}$, the variable-input first-order conditions of expected profit maximization can be written as

$$\theta MC_{it} \frac{\partial Y^*_{it}}{\partial j_{it}} = P^j_{it}, \qquad j \in \{L, M\}. \tag{38}$$

Multiplying equation (38) by $j_{it}/(P_{it}Y^*_{it})$ gives

$$\theta \frac{MC_{it}}{P_{it}} \left(\frac{\partial Y^*_{it}}{\partial j_{it}} \frac{j_{it}}{Y^*_{it}} \right) = \frac{P^j_{it} j_{it}}{P_{it} Y^*_{it}}. \tag{39}$$

Thus, the observed revenue shares are

$$s^j_{it} \equiv \frac{P^j_{it} j_{it}}{P_{it} Y_{it}} = \theta \frac{\varepsilon^j_{it}}{\mu_{it}} e^{-\eta_{it}}, \qquad j \in \{L, M\}. \tag{40}$$

consequently, either variable input provides a noisy signal of the same markup ($\mu_{it} e^{\eta_{it}}$):

$$\frac{\varepsilon^L_{it}}{s^L_{it}} = \frac{\varepsilon^M_{it}}{s^M_{it}} = \frac{\mu_{it}}{\theta} e^{\eta_{it}}. \tag{41}$$

The ratio of the labor and materials conditions removes μ_{it} and η_{it}:

$$\frac{s^L_{it}}{s^M_{it}} = \frac{\varepsilon^L_{it}}{\varepsilon^M_{it}} = \frac{\beta_L + \delta(m_{it} - l_{it} - \omega_{L,it})}{\beta_M - \delta(m_{it} - l_{it} - \omega_{L,it})}. \tag{42}$$

This is the same as (15). Hence the labor-augmenting productivity inversion is unchanged. Equation (42) gives

$$\omega_{L,it} = m_{it} - l_{it} + \frac{\beta_L}{\delta} - \frac{\nu}{\delta} SC^L_{it}. \tag{43}$$

This is identical to (17). As before, using $\nu = \beta_L + \beta_M$ gives

$$\varepsilon^L_{it} = \nu SC^L_{it}, \qquad \varepsilon^M_{it} = \nu SC^M_{it}. \tag{44}$$

Adding the two observed shares gives

$$R_{it} \equiv s^L_{it} + s^M_{it} = \theta \frac{\nu}{\mu_{it}} e^{-\eta_{it}}. \tag{45}$$

Therefore,

$$RR_{it} \equiv \ln(\theta\nu) - \ln R_{it} = \ln \mu_{it} + \eta_{it}. \tag{46}$$

which differs from the competitive share equation (13) because of the markup μ_{it}.

5 Identification and Estimation

The main IPC sequence estimates Hicks-neutral technology and dynamics, conditional labor-augmenting dynamics, and markup dynamics. The fourth stage predicts firm-year latent states. The output-contribution comparisons use technology and productivity-transition estimates from the first two stages; Stage 3 supplies the separate markup results. The PC procedure in Section 4.3 provides the benchmark.

5.1 Stage 1: Hicks-neutral technology and dynamics

Combining equation (20) with $y_{it} = y^*_{it} + \eta_{it}$ gives

$$y_{it} = \kappa_0 + \beta_K k_{it} + \tfrac{1}{2}\beta_{KK} k^2_{it} + \nu m_{it} - \left(\frac{\nu^2}{2\delta}\right)(SC^L_{it})^2 + \omega_{N,it} + \eta_{it}. \tag{47}$$

Hicks-neutral productivity is assumed to follow

$$\omega_{N,it} = \pi_N + \rho_N \omega_{N,i,t-1} + \boldsymbol{\gamma}'_N \mathbf{D}_{i,t-1} + \xi_{N,it}, \qquad \mathbb{E}[\xi_{N,it} \mid \mathcal{I}_{i,t-1}] = 0. \tag{48}$$

Quasi differencing equation (47) gives

$$\begin{aligned} u_{N,it} = {} & y_{it} - \pi_0 - \rho_N y_{i,t-1} - \beta_K(k_{it} - \rho_N k_{i,t-1}) \\ & - \tfrac{1}{2}\beta_{KK}(k^2_{it} - \rho_N k^2_{i,t-1}) - \nu(m_{it} - \rho_N m_{i,t-1}) \\ & + \left(\frac{\nu^2}{2\delta}\right)\left[(SC^L_{it})^2 - \rho_N (SC^L_{i,t-1})^2\right] - \boldsymbol{\gamma}'_N \mathbf{D}_{i,t-1}, \end{aligned} \tag{49}$$

where $\pi_0 = \pi_N + (1 - \rho_N)\kappa_0$ and the composite disturbance is

$$u_{N,it} = \xi_{N,it} + \eta_{it} - \rho_N \eta_{i,t-1}. \tag{50}$$

The Stage 1 parameter vector is

$$\boldsymbol{\theta}_N = (\pi_0, \beta_K, \beta_{KK}, \nu, \delta, \rho_N, \gamma_N)'. \tag{51}$$

We estimate this block by nonlinear GMM using

$$\mathbb{E}[\mathbf{Z}_{N,it} u_{N,it}] = \mathbf{0}, \tag{52}$$

where $\mathbf{Z}_{N,it}$ contains predetermined and sufficiently dated variables that are orthogonal to $\xi_{N,it}$, η_{it}, and $\eta_{i,t-1}$. In particular, the presence of $\eta_{i,t-1}$ in equation (50) requires the timing of the instruments to be chosen accordingly.

The common instrument block uses capital dated $t-1$ and its square, together with the $t-2$ labor cost share, digitalization variables, and materials. Under the stated timing assumptions, lagged capital and its square are orthogonal to both η_{it} and $\eta_{i,t-1}$ and to the current Hicks-neutral innovation $\xi_{N,it}$.

$$\mathbf{Z}^0_{N,it} = \left(1,\ \left(SC^L_{i,t-2}\right)^2,\ \mathbf{D}'_{i,t-2},\ m_{i,t-2},\ k_{i,t-1},\ k^2_{i,t-1}\right)', \tag{53}$$

and $\mathbf{Z}_{N,it}$ stacks $\mathbf{Z}^0_{N,it}$ with the sample-specific instruments in Table 3.

Table 3: Hicks-neutral productivity with sample-specific instruments

	Sample-specific instruments added to $\mathbf{Z}^0_{N,it}$	Moments / free parameters	
Sample		Composite	Four components
Overall	$R_{i,t-2}$, $ICT_{i,t-2}$	8 / 7	11 / 10
Small firms	$SC^L_{i,t-2}$, $R_{i,t-2}$	8 / 7	11 / 10
Large firms	$s^L_{i,t-2}$, ln(effective hours$_{i,t-2}$)	8 / 7	11 / 10
Low-digital industries	$R_{i,t-2}$, $ICT_{i,t-2}$, $\mathbf{1}\{\text{metal products}\}_i$	9 / 7	12 / 10
High-digital industries	$s^L_{i,t-2}$, $k_{i,t-1}m_{i,t-2}$	8 / 7	11 / 10

Notes: Every sample uses the common instruments $\mathbf{Z}^0_{N,it}$ in (53). $R_{i,t-2} = s^L_{i,t-2} + s^M_{i,t-2}$ is the lagged sum of the labor and materials expenditure shares of revenue; $s^L_{i,t-2}$ is the lagged labor expenditure share of revenue; $ICT_{i,t-2}$ is the lagged ICT index built from the IT-technology, digital-human-capital and stakeholder-facing items of the digitalization index; ln(effective hours$_{i,t-2}$) is lagged log total effective hours; $\mathbf{1}\{\text{metal products}\}_i$ indicates the metal and metal products industry within the low-digital sample. In the component specification $\mathbf{D}_{i,t-2}$ contains the four lagged component indices and the sample-specific instruments are unchanged.

After estimating the technology parameters, we construct the firm-year Hicks-neutral productivity signal

$$H_{it} \equiv y_{it} - \left[\widehat{\kappa}_0 + \widehat{\beta}_K k_{it} + \tfrac{1}{2}\widehat{\beta}_{KK} k^2_{it} + \widehat{\nu} m_{it} - \left(\frac{\widehat{\nu}^2}{2\widehat{\delta}}\right)(SC^L_{it})^2\right]. \tag{54}$$

By construction,

$$H_{it} = \omega_{N,it} + \eta_{it}. \tag{55}$$

Stage 1 identifies technology and constructs a Hicks-neutral productivity signal containing the transitory disturbance. Signal extraction in Stage 4 supplies the reported decomposition into persistent productivity and transitory noise.

5.2 Stage 2: Labor-augmenting dynamics

Stage 2 uses the Stage 1 Hicks-neutral estimates $(\widehat{\nu}, \widehat{\delta})$ as fixed inputs when estimating labor-augmenting productivity dynamics. Labor-augmenting productivity follows the controlled first-order Markov process

$$\omega_{L,it} = \rho_L \omega_{L,i,t-1} + \boldsymbol{\gamma}'_L \mathbf{D}_{i,t-1} + \xi_{L,it}, \qquad \mathbb{E}[\xi_{L,it} \mid \mathcal{I}_{i,t-1}] = 0. \tag{56}$$

Evaluated at the Stage 1 estimates of ν and δ, it holds in period t,

$$\omega_{L,it} = (m_{it} - l_{it}) + \frac{\beta_L}{\widehat{\delta}} - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{it}, \tag{57}$$

$$\begin{aligned}(m_{it} - l_{it}) - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{it} = & -(1-\rho_L)\frac{\beta_L}{\widehat{\delta}} + \rho_L \left[(m_{i,t-1} - l_{i,t-1}) - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{i,t-1}\right] \\ & + \boldsymbol{\gamma}_L' \mathbf{D}_{i,t-1} + \xi_{L,it}.\end{aligned} \tag{58}$$

Solving (58) for the innovation gives the residual

$$\begin{aligned}\xi_{L,it} = & (m_{it} - l_{it}) - \rho_L (m_{i,t-1} - l_{i,t-1}) + (1-\rho_L)\frac{\beta_L}{\widehat{\delta}} \\ & - \frac{\widehat{\nu}}{\widehat{\delta}} (SC^L_{it} - \rho_L SC^L_{i,t-1}) - \boldsymbol{\gamma}_L' \mathbf{D}_{i,t-1},\end{aligned} \tag{59}$$

which depends on the parameter vector

$$\boldsymbol{\theta}_L = (\beta_L, \rho_L, \boldsymbol{\gamma}_L')'. \tag{60}$$

We use the instrument vector

$$\mathbf{Z}_{L,it} = \left(1,\ (m_{i,t-1} - l_{i,t-1}) - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{i,t-1},\ \mathbf{D}'_{i,t-1}\right)', \tag{61}$$

with moment conditions

$$\mathbb{E}[\mathbf{Z}_{L,it}\xi_{L,it}] = \mathbf{0}. \tag{62}$$

5.3 Stage 3: Markup dynamics and the second signal

We allow the log markup to follow

$$\ln \mu_{it} = \pi_\mu + \rho_\mu \ln \mu_{i,t-1} + \gamma_\mu D_{i,t-1} + \xi_{\mu,it}, \qquad \mathbb{E}[\xi_{\mu,it} \mid \mathcal{I}_{i,t-1}] = 0. \tag{63}$$

Using the Stage 1 estimate of ν, equation (46) implies the markup signal $RR_{it} = \ln(\theta\nu) - \ln R_{it} = \ln \mu_{it} + \eta_{it}$. Because θ is constant, the empirically unadjusted signal is

$$\widetilde{RR}_{it} \equiv \ln \nu - \ln R_{it} = \ln \mu_{it} + \eta_{it} - \ln \theta \tag{64}$$

Stage 3 estimates the markup transition by linear instrumental variables. Write $\widetilde{\pi}_\mu = \pi_\mu - (1-\rho_\mu)\ln\theta$. The observed-signal residual is

$$u_{\mu,it} = \widetilde{RR}_{it} - \widetilde{\pi}_\mu - \rho_\mu \widetilde{RR}_{i,t-1} - \gamma_\mu D_{i,t-1} = \xi_{\mu,it} + \eta_{it} - \rho_\mu \eta_{i,t-1}. \tag{65}$$

The lagged observed signal $\widetilde{RR}_{i,t-1}$ contains $\eta_{i,t-1}$. The same disturbance enters $u_{\mu,it}$ with coefficient $-\rho_\mu$. The lagged signal is therefore endogenous in the transition equation. We use

$$\mathbf{Z}_{\mu,it} = \left(1,\ \widetilde{RR}_{i,t-2},\ D_{i,t-2}\right)', \qquad \mathbb{E}[\mathbf{Z}_{\mu,it} u_{\mu,it}] = \mathbf{0}. \tag{66}$$

These moments require the instruments to be orthogonal to both the current markup innovation and the current and lagged transitory disturbances. The four-component specification replaces D with the vector of component indices. Both specifications are exactly identified. Each firm-block bootstrap replication repeats the preceding stages and this markup estimation.

The Hicks-neutral and markup blocks therefore provide two observed signals with the same transitory output shock:

$$H_{it} = \omega_{N,it} + \eta_{it}, \qquad \widetilde{RR}_{it} = \left(\ln \mu_{it} - \ln \theta\right) + \eta_{it}. \tag{67}$$

Their difference removes the common error,

$$H_{it} - \widetilde{RR}_{it} = \omega_{N,it} - \ln \mu_{it} + \ln \theta. \tag{68}$$

This relation provides additional information for separating Hicks-neutral productivity from the markup.

5.4 Stage 4: The state-space decomposition

The baseline implementation uses the state-space step to produce the firm-year Hicks-neutral productivity and markup summaries in Table 11, Figure 1, and Appendix A. The structural technology and transition estimates are obtained before smoothing. The decomposition requires the additional second-moment restrictions in Appendix C. Define the state vector

$$\mathbf{x}_{it} = \begin{pmatrix} \omega_{N,it} \\ \widetilde{m}^{\mu}_{it} \end{pmatrix}. \tag{69}$$

The state equation is

$$\mathbf{x}_{it} = \begin{pmatrix} \pi_N \\ \widetilde{\pi}_{\mu} \end{pmatrix} + \begin{pmatrix} \rho_N & 0 \\ 0 & \rho_{\mu} \end{pmatrix} \mathbf{x}_{i,t-1} + \begin{pmatrix} \gamma_N \\ \gamma_{\mu} \end{pmatrix} D_{i,t-1} + \begin{pmatrix} \xi_{N,it} \\ \xi_{\mu,it} \end{pmatrix}. \tag{70}$$

The measurement system is

$$\begin{pmatrix} H_{it} \\ \widetilde{RR}_{it} \end{pmatrix} = \begin{pmatrix} 1 & 0 \\ 0 & 1 \end{pmatrix} \mathbf{x}_{it} + \begin{pmatrix} 1 \\ 1 \end{pmatrix} \eta_{it}. \tag{71}$$

We assume η_{it} has mean zero and is serially independent. It is also orthogonal to the state innovations $\xi_{N,it}$ and $\xi_{\mu,it}$. The state innovations have mean zero and a finite covariance matrix. Under Assumption C.2, the transition dynamics and lag-one residual covariances identify the disturbance variances. At least one nonzero persistence parameter is sufficient to recover the common transitory variance. Using all own- and cross-covariance routes requires both persistence parameters to be nonzero. Proposition C.2 derives these population restrictions.

Under those additional restrictions, the Kalman filter and smoother provide minimum-mean-squared-error linear predictions:

$$\widehat{\omega}_{N,it} = \mathrm{Proj}_{\mathrm{lin}}(\omega_{N,it} \mid \mathcal{Y}_i), \qquad \widehat{\widetilde{m}}^{\mu}_{it} = \mathrm{Proj}_{\mathrm{lin}}(\widetilde{m}^{\mu}_{it} \mid \mathcal{Y}_i). \tag{72}$$

Here $\mathcal{Y}_i$ contains the two signal sequences for firm i, and $\mathrm{Proj}_{\mathrm{lin}}$ denotes their linear projection. The common transitory disturbance is predicted from either measurement equation:

$$\widehat{\eta}_{it} = H_{it} - \widehat{\omega}_{N,it} = \widetilde{RR}_{it} - \widehat{\widetilde{m}}^{\mu}_{it}. \tag{73}$$

Labor-augmenting productivity does not require the state-space decomposition because both markup and the transitory output shock cancel from the ratio of the two variable input conditions. Its firm-year prediction uses the

Stage 1 Hicks-neutral estimates $\widehat{\nu}$ and $\widehat{\delta}$:

$$\widehat{\omega}_{L,it} = m_{it} - l_{it} + \frac{\widehat{\beta}_L}{\widehat{\delta}} - \frac{\widehat{\nu}}{\widehat{\delta}} SC^L_{it}. \tag{74}$$

Thus, the IPC model identifies labor-augmenting productivity directly and identifies noisy firm-year signals for Hicks-neutral productivity and the log markup. Separate firm-year predictions of Hicks-neutral productivity, the markup, and transitory output shock require the additional state-space restrictions in Appendix C.

5.5 Identification Contribution and Relation to Existing Literature

The core identification problem is that the IPC revenue-share equation contains ν/μ_{it}, together with the output-shock adjustment. Under the maintained timing, exclusion, and rank conditions, Stage 1 identifies ν and the remaining technology parameters from the dynamic production equation (47) and the Hicks-neutral law of motion. The ratio of input first-order conditions then recovers labor-augmenting productivity, and the revenue-share identity (46) supplies the markup signal. This ordering yields the transition coefficients and output elasticities used in Table 10.

The strategy builds on the two productivity dimensions in Doraszelski and Jaumandreu (2019) and the system approach of Malikov et al. (2024). For IPC, MZZ discuss set identification and a price-based materials-demand alternative. Our quantity-side identification instead uses the dynamic production moments. Unlike the constant-returns restriction discussed by Flynn et al. (2019), we estimate returns to scale, subject to the numerical root-selection conditions in Section 5.1. Demirer (2025) uses a different control-function approach. These comparisons concern the source of identifying restrictions.

Stage 4 is distinct from this structural identification. It uses additional second-moment restrictions to predict persistent Hicks-neutral productivity and log markups from their noisy signals. Proposition C.2 derives those restrictions. The smoothed states are conditional decompositions under the maintained second-moment assumptions. They are not inputs to the output-contribution or dominance-gap tests, which use estimated technology, transition coefficients, and resampled input cost shares.

6 Empirical Results

We first report PC and IPC transition estimates and their variation across firms and digitalization components. Section 6.2.5 then presents the central comparison: the reversal in the ranking of the productivity responses and the paired output contributions on the common IPC sample.

The transition coefficients describe responses to lagged adoption conditional on lagged productivity or markups. Their interpretation relies on innovations being mean-independent of prior information, including adoption. This permits adoption to respond to past firm outcomes under the maintained timing assumptions. These coefficients measure growth in productivity indices; output contributions additionally weight labor-augmenting growth by its output elasticity.

6.1 Perfect-competition (PC)

6.1.1 Digitalization and productivity

Table 4 reports the effects of digitalization in the PC productivity transition processes, conditional on current productivity. A one-point increase covers the index's entire zero-to-one range and corresponds directly to the reported

effect. The overall labor-augmenting estimate of 0.037 therefore implies approximately 3.7% higher next-period labor-augmenting productivity. Persistence allows the effect of a sustained increase in adoption to accumulate over time.

Under PC, the overall labor-augmenting estimate is 0.037 with a bootstrap standard error of 0.007. The overall Hicks-neutral estimate is 0.062 with a bootstrap standard error of 0.008. The labor-augmenting estimates are 0.046 for small firms and 0.064 for high-digital industries. These estimates are significant. The estimates for large firms and low-digital industries are not distinguishable from zero. Hicks-neutral estimates are positive and significant in every subgroup.

Table 4: Digitalization effects in productivity transitions under PC

Outcome	Overall	Small	Large	Low	High
Labor-augmenting productivity	0.037***	0.046***	−0.010	0.016	0.064***
	(0.007)	(0.009)	(0.015)	(0.011)	(0.012)
Hicks-neutral productivity	0.062***	0.067***	0.033**	0.061***	0.062***
	(0.008)	(0.011)	(0.014)	(0.011)	(0.014)
Observations	17,087	12,246	4,343	10,610	5,883
Firms	2,213	1,689	546	1,374	789

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. The index ranges from zero to one. A one-point increase corresponds to the reported effect. PC uses one lag and the minimal exactly identified MZZ labor instrument set.

6.1.2 Heterogeneity in the effects of digitalization in the PC

Table 5 tests whether the digitalization effects reported in Table 4 differ across firm-size classifications and between low- and high-digital-intensity industries. Because productivity is estimated allowing for different technological parameters across samples, baseline productivity levels are not directly comparable across subgroups. Consequently, our comparisons focus strictly on the marginal effects of digitalization.

The evidence of heterogeneity is strongest for labor-augmenting productivity. Under PC, the digitalization effect is 0.056 larger for small firms than for large firms, a difference significant at the one percent level. The small-firm effect is positive and significant, while the large-firm effect is not statistically distinguishable from zero. Across industries, the labor-augmenting effect is 0.048 larger in high-digital-intensity industries than in low-digital-intensity industries.

The PC Hicks-neutral effect is 0.034 larger for small firms than for large firms. The bootstrap standard error of this difference is 0.017. The high-minus-low industry difference is 0.001 with a bootstrap standard error of 0.017.

Table 5: Differences in digitalization effects under PC

Outcome	Small	Large	Small–large	High	Low	High–low
Labor-augmenting productivity	0.046***	−0.010	0.056***	0.064***	0.016	0.048***
	(0.009)	(0.015)	(0.017)	(0.012)	(0.011)	(0.016)
Hicks-neutral productivity	0.067***	0.033**	0.034**	0.062***	0.061***	0.001
	(0.011)	(0.014)	(0.017)	(0.014)	(0.011)	(0.017)

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. Differences use a joint union-firm bootstrap, preserving covariance when firms appear in both groups. Industry digital intensity does not classify individual firms by their own adoption scores. All differences use 499 bootstrap replications.

6.1.3 Effects of Digitalization Dimensions on Productivity

We next replace the composite index with its four components, described in Section 3, which enter both productivity transitions jointly. Table 6 reports the estimates under PC in separate blocks for labor-augmenting and Hicks-neutral

productivity. Because the components enter together, each effect measures the estimated effect of one dimension of digitalization on productivity, holding the other three constant.

The component estimates in Table 6 show distinct responses. Digital human capital has significant labor-augmenting coefficients in every sample except large firms. IT technologies and automation also have positive overall labor-augmenting responses, while stakeholder-facing coefficients are imprecise throughout.

Automation and stakeholder-facing digitalization have significant Hicks-neutral responses in the overall and small-firm samples. High-digital industries also have a significant IT-technology response. The table reports the remaining subgroup estimates and their precision.

Table 6: Digitalization components and productivity effects under PC

Component	Overall	Small	Large	Low	High
Labor-augmenting productivity					
IT technologies	0.010**	0.008	0.002	0.006	0.019***
	(0.005)	(0.006)	(0.010)	(0.006)	(0.007)
Digital human capital	0.019***	0.021***	0.008	0.021***	0.020***
	(0.004)	(0.006)	(0.007)	(0.005)	(0.007)
Automation	0.010**	0.019***	−0.007	0.005	0.018**
	(0.004)	(0.005)	(0.007)	(0.006)	(0.007)
Stakeholder-facing digitalization	0.007	0.009	0.000	−0.007	0.016
	(0.007)	(0.008)	(0.011)	(0.009)	(0.010)
Hicks-neutral productivity					
IT technologies	0.011*	0.007	0.017*	0.005	0.023***
	(0.005)	(0.007)	(0.009)	(0.007)	(0.009)
Digital human capital	0.009	0.008	0.010	0.003	0.019*
	(0.006)	(0.008)	(0.009)	(0.007)	(0.010)
Automation	0.018***	0.022***	0.002	0.027***	0.000
	(0.005)	(0.006)	(0.009)	(0.007)	(0.008)
Stakeholder-facing digitalization	0.021***	0.026***	0.005	0.017*	0.028**
	(0.007)	(0.009)	(0.012)	(0.009)	(0.011)
Observations	15,874	11,389	3,988	9,871	5,459
Firms	2,140	1,625	525	1,328	762

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices.

6.2 IPC

In this section, we present the results under IPC.

6.2.1 Digitalization and productivity (IPC)

Table 7 reports an overall IPC labor-augmenting coefficient of 0.055 with a bootstrap standard error of 0.007. The small-firm estimate is 0.059 with a standard error of 0.008; the large-firm estimate is −0.002 with a standard error of 0.011 and is not distinguishable from zero. The paired size contrast below establishes a significantly larger small-firm response, rather than a zero effect among large firms. Both industry groups have significant labor-augmenting coefficients, but their difference is imprecise.

Hicks-neutral coefficients are positive and significant in the overall, small-firm, large-firm, and low-digital samples; the high-digital estimate is imprecise. Large firms thus have a significant Hicks-neutral response alongside an imprecise labor-augmenting response. Section 6.2.5 compares the two channels in output units on a common sample.

Table 7: Digitalization effects in productivity and markup transitions under IPC

Outcome	Overall	Small	Large	Low	High
Labor-augmenting productivity	0.055***	0.059***	−0.002	0.050***	0.062***
	(0.007)	(0.008)	(0.011)	(0.010)	(0.017)
Hicks-neutral productivity	0.043***	0.042***	0.054**	0.049***	0.019
	(0.008)	(0.010)	(0.026)	(0.010)	(0.017)
Log-markup transition	0.007**	0.013**	0.003	0.012***	−0.007
	(0.003)	(0.005)	(0.007)	(0.004)	(0.004)
Observations	13,291	9,266	3,415	8,278	4,523
Firms	1,816	1,324	457	1,120	656

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. The index ranges from zero to one. A one-point increase corresponds to the reported effect. IPC uses two lags and estimates Hicks-neutral technology first, labor dynamics conditional on that technology second, and markup dynamics third. Bootstrap replications used for productivity, in column order: 499, 499, 499, 499, 499. Bootstrap replications used for markup: 499, 499, 499, 499, 499.

6.2.2 Digitalization and markup dynamics

Table 7 also reports the markup effects. A one-point increase in the index raises next-period markups by 0.7% in the overall sample, 1.3% among small firms, and 1.2% in low-digital industries. All three effects are significant at five percent or better. The large-firm markup coefficient is 0.003, while the high-digital coefficient is −0.007; neither is distinguishable from zero.

The high-minus-low industry test in Table 8 establishes a smaller markup response in high-digital industries, although the negative high-digital coefficient is not individually significant. This does not establish markup compression or a particular competition mechanism. Markup and productivity coefficients measure different outcomes, so their ratios are not shares of adoption's financial or welfare returns. Figure 1 describes annual normalized markup distributions, a separate object affected by other shocks and sample composition.

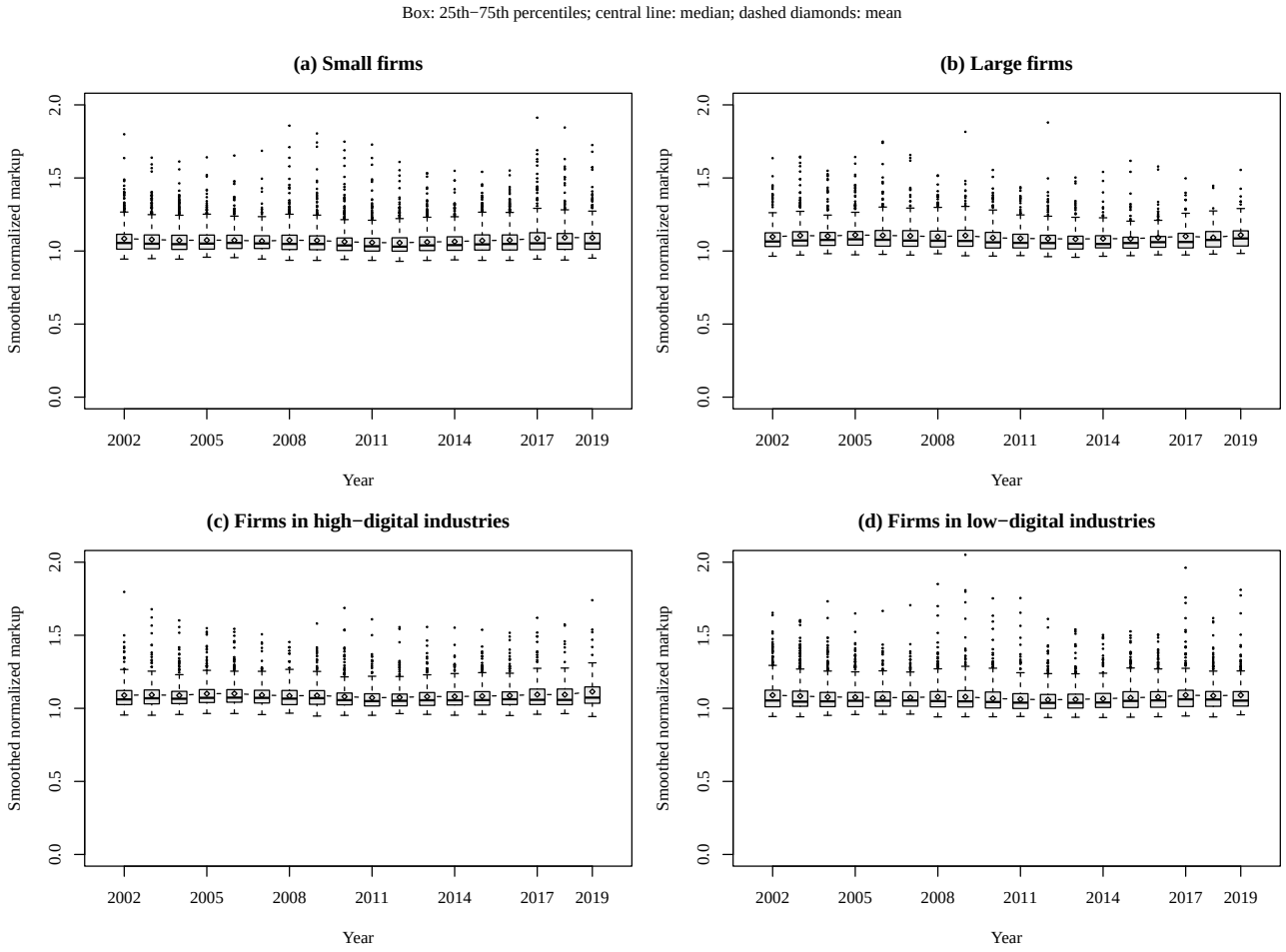


Figure 1: Annual markup distributions by firm size and industry digital intensity

Figure 1 shows annual smoothed normalized markups. From 2002 to 2019, mean markups move from 1.085 to 1.091 among small firms and from 1.097 to 1.110 among large firms. High-digital means move from 1.089 to 1.114, while low-digital means begin and end at 1.090. The normalization and estimated technology differ across groups, so these levels do not rank absolute markups. Changes in sample composition also affect the annual trends.

Over the overlapping 2002–2014 period, the normalized high-digital mean moves from 1.089 to 1.081 and the low-digital mean from 1.090 to 1.066. Differences in period, industry classification, identification, and normalization prevent a formal comparison of these absolute levels with Calligaris et al. (2018).

6.2.3 Heterogeneity in the effects of digitalization under IPC

Table 8 reports the corresponding subgroup comparisons for the IPC effects in Table 7. Under IPC, the small–large labor-augmenting difference is 0.061. The small-firm effect is positive and significant, while the large-firm effect is not statistically distinguishable from zero. The high–low industry difference is 0.012 and is not distinguishable from zero. The estimates therefore provide strong evidence of a firm-size difference, while the industry contrast remains imprecise under IPC. The results are different for Hicks-neutral productivity. The small–large difference is -0.012, while the high–low industry difference is -0.030. Neither difference is significant at ten percent. The small-, large-, and low-digital effects are individually significant, while the high-digital effect is not. However, differences in individual significance do not imply significant differences between groups.

The IPC high-minus-low industry markup difference is −0.018. Its bootstrap standard error is 0.006. The paired test gives a p-value of 0.002. The small-minus-large firm difference is 0.010 with a bootstrap standard error of 0.008. It is not distinguishable from zero, with a p-value of 0.231. These tests compare groups. They do not establish a markup reduction within either group.

Table 8: Differences in digitalization effects under IPC

Outcome	Small	Large	Small–large	High	Low	High–low
Labor-augmenting productivity	0.059^{***}	-0.002	0.061^{***}	0.062^{***}	0.050^{***}	0.012
	(0.008)	(0.011)	(0.015)	(0.017)	(0.010)	(0.020)
Hicks-neutral productivity	0.042^{***}	0.054^{**}	-0.012	0.019	0.049^{***}	-0.030
	(0.010)	(0.026)	(0.028)	(0.017)	(0.010)	(0.020)
Log markup	0.013^{**}	0.003	0.010	-0.007	0.012^{***}	-0.018^{***}
	(0.005)	(0.007)	(0.008)	(0.004)	(0.004)	(0.006)

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. Differences use a joint union-firm bootstrap, preserving covariance when firms appear in both groups. Industry digital intensity does not classify individual firms by their own adoption scores. Bootstrap replications used for markup differences: 498 for size and 499 for industry.

6.2.4 Effects of Digitalization Dimensions on Productivity and Markups

Table 9 shows significant overall labor-augmenting responses for all four dimensions of digitalization. Among small firms, IT technologies, digital human capital, and automation have significant responses. Hicks-neutral patterns differ: IT coefficients are imprecise in every sample, while automation has significant overall, small-firm, and low-digital responses. Digital human capital also has a significant overall Hicks-neutral response.

Automation is the only component with significant markup responses in the reported samples, with coefficients of 0.009 overall, 0.012 among small firms, and 0.013 in low-digital industries. Together with its productivity responses, this gives evidence across all three channels. It does not establish that automation's markup effect differs significantly from the other components, nor whether it complements labor in employment or wages (Acemoglu et al., 2026). The composite-index dominance tests below address a different question from these component coefficient comparisons.

Table 9: Digitalization components and their effects on productivity and markups under IPC

Component	Overall	Small	Large	Low	High
Labor-augmenting productivity					
IT technologies	0.018***	0.016***	−0.004	0.013**	0.021**
	(0.004)	(0.006)	(0.019)	(0.006)	(0.009)
Digital human capital	0.022***	0.025***	0.012	0.026***	0.024***
	(0.004)	(0.006)	(0.008)	(0.005)	(0.009)
Automation	0.011***	0.019***	−0.004	0.008	0.015*
	(0.004)	(0.005)	(0.027)	(0.006)	(0.009)
Stakeholder-facing digitalization	0.011**	0.009	0.004	0.011	0.004
	(0.006)	(0.007)	(0.034)	(0.007)	(0.010)
Hicks-neutral productivity					
IT technologies	0.003	0.002	0.008	0.004	0.005
	(0.004)	(0.005)	(0.017)	(0.006)	(0.008)
Digital human capital	0.009**	0.011*	0.015	0.010**	0.000
	(0.004)	(0.006)	(0.014)	(0.005)	(0.009)
Automation	0.017***	0.017***	0.016	0.022***	0.007
	(0.004)	(0.006)	(0.020)	(0.005)	(0.007)
Stakeholder-facing digitalization	0.010	0.013*	0.002	0.008	0.011
	(0.007)	(0.008)	(0.022)	(0.009)	(0.011)
Log-markup transition					
IT technologies	−0.003	−0.005	0.009	−0.003	0.000
	(0.003)	(0.003)	(0.005)	(0.004)	(0.004)
Digital human capital	0.002	0.005	0.002	0.003	−0.004
	(0.002)	(0.004)	(0.004)	(0.003)	(0.003)
Automation	0.009***	0.012***	0.003	0.013***	0.004
	(0.003)	(0.003)	(0.005)	(0.004)	(0.005)
Stakeholder-facing digitalization	−0.003	0.000	−0.008	−0.002	−0.005
	(0.004)	(0.005)	(0.006)	(0.005)	(0.006)
Observations	12,161	8,487	3,085	7,607	4,126
Firms	1,717	1,250	424	1,068	617

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. Four component indices enter each transition jointly. Bootstrap replications used for productivity, in column order: 499, 499, 499, 499, 499. Bootstrap replications used for markup: 499, 499, 497, 499, 499.

6.2.5 Comparing PC and IPC: market power and the composition of productivity gains

Table 10 compares the two models in two units. Panels A to C compare productivity coefficients, which show the direction of factor bias. Panels D and E compare local output contributions for a one-point increase in the composite index at fixed physical inputs. Hicks-neutral growth contributes γ_N to log output; labor efficiency contributes $\gamma_L\overline{\varepsilon^L}$, where $\overline{\varepsilon^L} = \nu\overline{SC^L}$. Each of the 499 paired firm-block draws uses its own technology and transition estimates and resampled mean cost share. PC is re-estimated on the IPC sample, so sample composition is held fixed within each comparison.

In productivity units, allowing market power reverses the ranking of the two responses. Under perfect competition on the full sample, the Hicks-neutral response exceeds the labor-augmenting response, and the gap of 0.025 is significant with a p-value of 0.023. Under imperfect competition, the labor-augmenting response of 0.055 exceeds the Hicks-neutral response of 0.043. On the common sample with paired draws, the labor-augmenting minus Hicks-neutral gap rises by 0.030, with a p-value of 0.015. The gap within the imperfect-competition model is not significant on its own, so the evidence supports a significant shift toward labor-augmenting productivity rather than a significant labor-augmenting lead. Digitalization is therefore factor-biased toward labor efficiency once market power is allowed, and the perfect-competition benchmark understates this bias.

The overall Hicks-neutral contribution falls from approximately 6.5% under PC to 4.3% under IPC, while the labor-efficiency contribution rises from 1.1% to 1.4%. The Hicks-neutral minus labor-efficiency gap consequently narrows from 5.40 to 2.93 percentage points. Its change of −2.47 percentage points is significant, with a paired-bootstrap standard error of 1.07 and a p-value of 0.020. Both components of this narrowing are significant: the

Hicks-neutral contribution falls by 2.20 percentage points with a p-value of 0.033, and the labor-efficiency contribution rises by 0.28 percentage points with a p-value of 0.021. Hicks-neutral productivity still contributes significantly more to output under IPC, with a gap-test p-value below 0.001. In output units, allowing market power therefore narrows the Hicks-neutral lead rather than reversing it. This is consistent with the reversal in productivity units, because labor-augmenting growth reaches output only through the labor elasticity.

The dominance-gap reduction is also significant among small firms and in high-digital industries, with changes of -3.28 and -4.86 percentage points and unadjusted p-values of 0.017 and 0.028. The low-digital change of -2.19 percentage points is imprecise, with a p-value of 0.104, as is the large-firm increase of 2.83 percentage points, with a p-value of 0.247. Within IPC, Hicks-neutral contributions exceed labor-efficiency contributions significantly in all groups except high-digital industries, where the gap is 0.25 percentage points with a p-value of 0.893.

Table 10: Market power, productivity coefficients, and output contributions

Statistic	Overall	Small	Large	Low	High
A. Labor-augmenting minus Hicks-neutral effect, main estimates					
PC, full PC sample	−0.025**	−0.021	−0.044**	−0.045***	0.002
	(0.011)	(0.015)	(0.021)	(0.016)	(0.018)
IPC	0.012	0.016	−0.057*	0.001	0.043*
	(0.011)	(0.013)	(0.030)	(0.015)	(0.024)
B. PC re-estimated on the IPC sample					
Labor-augmenting	0.048***	0.061***	0.006	0.033***	0.055***
	(0.008)	(0.010)	(0.014)	(0.011)	(0.011)
Hicks-neutral	0.065***	0.075***	0.028*	0.066***	0.065***
	(0.009)	(0.013)	(0.017)	(0.013)	(0.016)
Labor-augmenting minus Hicks-neutral	−0.017	−0.014	−0.021	−0.034*	−0.009
	(0.013)	(0.016)	(0.022)	(0.018)	(0.020)
C. IPC minus PC on the IPC sample, paired draws					
Labor-augmenting effect	0.008	−0.002	−0.009	0.017*	0.007
	(0.005)	(0.006)	(0.010)	(0.009)	(0.016)
Hicks-neutral effect	−0.022**	−0.032**	0.027	−0.017	−0.046**
	(0.010)	(0.013)	(0.024)	(0.013)	(0.021)
Labor-augmenting minus Hicks-neutral	0.030**	0.030**	−0.035	0.034**	0.052**
	(0.012)	(0.015)	(0.027)	(0.017)	(0.026)
Scale parameter ν	0.068***	0.067***	0.088	0.068***	0.080
	(0.009)	(0.016)	(0.093)	(0.014)	(0.078)
D. Output contributions on the common sample: responses in percent; gaps in percentage points					
PC: labor-efficiency contribution	1.11***	1.54***	0.12	0.73***	1.37***
	(0.19)	(0.25)	(0.26)	(0.25)	(0.28)
PC: Hicks-neutral contribution	6.51***	7.46***	2.78*	6.64***	6.48***
	(0.95)	(1.29)	(1.66)	(1.26)	(1.60)
PC: Hicks-neutral minus labor efficiency	5.40***	5.93***	2.66	5.91***	5.11***
	(0.97)	(1.32)	(1.70)	(1.31)	(1.64)
IPC: labor-efficiency contribution	1.38***	1.59***	−0.05	1.19***	1.67***
	(0.17)	(0.23)	(0.25)	(0.23)	(0.51)
IPC: Hicks-neutral contribution	4.31***	4.24***	5.45**	4.92***	1.92
	(0.78)	(0.97)	(2.60)	(0.96)	(1.70)
IPC: Hicks-neutral minus labor efficiency	2.93***	2.64***	5.49**	3.73***	0.25
	(0.82)	(1.01)	(2.64)	(1.02)	(1.84)
E. IPC minus PC output contributions: paired changes in percentage points					
Labor-efficiency contribution change	0.28**	0.06	−0.16	0.46**	0.31
	(0.12)	(0.15)	(0.21)	(0.21)	(0.47)
Hicks-neutral contribution change	−2.20**	−3.23**	2.67	−1.72	−4.56**
	(1.03)	(1.34)	(2.43)	(1.29)	(2.14)
Hicks-neutral dominance gap change	−2.47**	−3.28**	2.83	−2.19	−4.86**
	(1.07)	(1.38)	(2.45)	(1.35)	(2.21)
Dominance-gap change p-value	0.020	0.017	0.247	0.104	0.028
Observations (IPC sample)	13,291	9,266	3,415	8,278	4,523

Notes: Firm-block-bootstrap standard errors are in parentheses, using 499 replications. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Panel A compares transition coefficients within each model; the full PC overall sample has 17,087 observations. Panel B re-estimates PC on the IPC sample. Panels B–E use the same resampled firms as IPC in each draw. Panels D–E report local, first-order output responses to a one-point index increase at fixed physical inputs. The Hicks-neutral contribution in percent is $100\gamma_N$ and the labor-efficiency contribution is $100\gamma_L\overline{\varepsilon^L}$, where $\overline{\varepsilon^L} = \nu\overline{SC^L}$. Each draw uses its own coefficients and resampled firm-year mean labor cost share, preserving uncertainty in the elasticity. The dominance gap is Hicks-neutral minus labor efficiency; a negative change in Panel E means this gap narrows under IPC. All differences are computed draw by draw before calculating their standard errors and tests. Output comparisons exclude subsequent input adjustment and do not measure welfare or financial returns. Subgroup tests are unadjusted for multiple comparisons.

Panels A–C report the coefficient comparisons discussed above. On the common sample, neither within-model coefficient gap is significant on its own; the significant result is the change between the two models. The labor-augmenting coefficient itself changes insignificantly, with a p-value of 0.126; its output-contribution change is significant because the latter also incorporates the model-specific estimated elasticity. Coefficient-gap tests and output-dominance tests therefore need not give the same subgroup conclusions. The full-sample PC estimates in Panel A are descriptive comparisons; Panels B–E hold the sample fixed.

6.2.6 Separating transitory shocks from Hicks-neutral productivity

Table 11 reports the supplementary state-space decomposition. The markup-based transitory variance estimate is 0.0048 with a bootstrap standard error of 0.0005; smoothing reduces Hicks-neutral signal dispersion from 0.1618 to 0.1419. The dispersion measures are firm-year standard deviations, not estimation standard errors. The smoothed states are conditional predictions under the maintained state-space assumptions in Appendix C. The output-contribution and dominance-gap tests use unsmoothed structural estimates and cost shares and do not depend on this decomposition.

Table 11: Transitory-shock extraction under imperfect competition

Outcome	Overall	Small	Large	Low	High
$\widehat{\sigma}^2_\eta$	0.0048	0.0058	0.0026	0.0044	0.0060
	(0.0005)	(0.0006)	(0.0004)	(0.0005)	(0.0007)
Firm-year means					
Labor-augmenting productivity	0.3173	0.2443	−0.0869	0.3468	0.2305
	(0.0351)	(0.0326)	(0.1101)	(0.0659)	(0.1456)
Hicks-neutral signal	0.0647	0.0621	0.0683	0.0708	0.0605
	(0.0059)	(0.0068)	(0.0205)	(0.0120)	(0.0167)
Smoothed Hicks-neutral productivity	0.0643	0.0619	0.0677	0.0704	0.0599
	(0.0059)	(0.0068)	(0.0205)	(0.0120)	(0.0166)
Predicted transitory shock	0.0004	0.0003	0.0006	0.0004	0.0005
	(0.0001)	(0.0002)	(0.0002)	(0.0001)	(0.0004)
Smoothed normalized log markup	0.0666	0.0658	0.0878	0.0681	0.0806
	(0.0098)	(0.0167)	(0.0704)	(0.0145)	(0.0728)
Firm-year standard deviations					
Labor-augmenting productivity	0.4686	0.4410	0.3697	0.5069	0.3739
	(0.0136)	(0.0146)	(0.0797)	(0.0346)	(0.0996)
Hicks-neutral signal	0.1618	0.1635	0.1551	0.1648	0.1535
	(0.0033)	(0.0051)	(0.0791)	(0.0348)	(0.0631)
Smoothed Hicks-neutral productivity	0.1419	0.1407	0.1379	0.1475	0.1282
	(0.0035)	(0.0056)	(0.0805)	(0.0356)	(0.0677)
Predicted transitory shock	0.0519	0.0601	0.0348	0.0491	0.0673
	(0.0044)	(0.0058)	(0.0049)	(0.0044)	(0.0073)
Smoothed normalized log markup	0.0862	0.0845	0.0946	0.0864	0.0808
	(0.0037)	(0.0051)	(0.0079)	(0.0034)	(0.0042)

Notes: Parentheses report firm-block-bootstrap standard errors from 499 attempted replications repeating all estimation stages. The high-digital firm-year summary standard errors use 469 usable draws; the variance estimate and the other columns use all 499. The reported $\widehat{\sigma}^2_\eta$ is estimated from the markup residual's lag-one covariance and is used in both measurement equations.

7 Diagnostics and Robustness

The following checks assess the technology, instruments, and sensitivity of the transition estimates used in the output comparison. They qualify the maintained specifications rather than independently validating their assumptions.

7.1 Technology and persistence estimates

7.1.1 Perfect competition

Under PC, median returns to scale range from 0.949 to 0.987 across samples. Mean capital elasticity is positive in every sample, ranging from 0.078 to 0.113; no retained firm-year has a negative estimated capital derivative. The sign of β_K alone does not determine monotonicity because $\varepsilon^K_{it} = \beta_K + \beta_{KK} k_{it}$.

The PC persistence estimates range from 0.796 to 0.903 across the two productivity processes and samples. The estimates indicate persistence in both productivity processes.

Table 12: Technology, persistence and estimation diagnostics under PC

Parameter	Overall	Small	Large	Low	High
ρ_L	0.891***	0.884***	0.903***	0.901***	0.862***
	(0.005)	(0.005)	(0.011)	(0.005)	(0.010)
ρ_N	0.840***	0.853***	0.796***	0.837***	0.838***
	(0.011)	(0.013)	(0.027)	(0.014)	(0.021)
ν	0.872***	0.871***	0.876***	0.872***	0.873***
	(0.002)	(0.002)	(0.004)	(0.002)	(0.003)
δ	−0.129***	−0.139***	−0.111***	−0.123***	−0.137***
	(0.003)	(0.004)	(0.009)	(0.004)	(0.006)
β_K	−0.129***	−0.159***	−0.058	−0.141***	−0.072
	(0.041)	(0.062)	(0.194)	(0.053)	(0.066)
β_{KK}	0.0156***	0.0174***	0.0099	0.0168***	0.0102**
	(0.0029)	(0.0047)	(0.0110)	(0.0038)	(0.0045)
Median returns to scale	0.969	0.949	0.987	0.977	0.950
Mean capital elasticity	0.098	0.078	0.113	0.106	0.078
Share with negative capital elasticity	0.000	0.000	0.000	0.000	0.000
Observations	17,087	12,246	4,343	10,610	5,883
Firms	2,213	1,689	546	1,374	789

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. Step 2 is exactly identified; Step 3 is nonlinear least squares. Among solutions with positive variable-input effects, we minimize the Step-3 residual sum of squares. Each bootstrap replication uses the same selection rule.

7.1.2 IPC

The IPC Hansen reference p-values range from 0.123 to 1.000. They do not reject the overidentifying restrictions at conventional levels; these reference tests alone do not establish instrument validity.

Mean IPC returns to scale range from 0.971 to 1.003. The large-firm estimate is close to one and slightly above it, while the other point estimates are below one. Mean capital elasticity is positive in every IPC sample, ranging from 0.031 to 0.042. In the large-firm sample, 10.2% of firm-years nevertheless have negative capital elasticity; the other composite samples have none.

IPC labor-augmenting persistence ranges from 0.906 to 0.942, Hicks-neutral persistence from 0.510 to 0.819, and markup persistence from 0.836 to 0.892. The large-firm Hicks-neutral persistence estimate of 0.510 is lower than those in the other samples.

Table 13: Technology, persistence and estimation diagnostics under IPC

Parameter	Overall	Small	Large	Low	High
ρ_L	0.934***	0.919***	0.940***	0.942***	0.906***
	(0.005)	(0.006)	(0.014)	(0.007)	(0.016)
ρ_N	0.777***	0.817***	0.510***	0.788***	0.819***
	(0.029)	(0.034)	(0.172)	(0.033)	(0.097)
ρ_μ	0.846***	0.859***	0.846***	0.836***	0.892***
	(0.019)	(0.024)	(0.038)	(0.022)	(0.032)
ν	0.939***	0.938***	0.961***	0.941***	0.951***
	(0.009)	(0.016)	(0.092)	(0.014)	(0.078)
δ	−0.206***	−0.209***	−0.176***	−0.203**	−0.198
	(0.006)	(0.008)	(0.043)	(0.089)	(0.217)
β_K	−0.016	−0.022	0.554	−0.021	0.017
	(0.030)	(0.078)	(1.640)	(0.242)	(0.231)
β_{KK}	0.0038*	0.0041	−0.0297	0.0039	0.0010
	(0.0021)	(0.0060)	(0.0923)	(0.0165)	(0.0170)
Mean returns to scale	0.978	0.971	1.003	0.978	0.982
Mean capital elasticity	0.039	0.034	0.042	0.037	0.031
Share with negative capital elasticity	0.000	0.000	0.102	0.000	0.000
Hansen reference p	0.686	0.539	1.000	0.522	0.123
Mean $\widehat{\nu}/R$	1.078	1.077	1.100	1.078	1.092
	(0.011)	(0.019)	(0.106)	(0.016)	(0.089)
Observations	13,291	9,266	3,415	8,278	4,523
Firms	1,816	1,324	457	1,120	656

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$.

7.2 Alternative materials-demand proxy

The sensitivity specification replaces the main Hicks-neutral block with a lagged materials-demand proxy adjusted using a forecast of lagged markup. Appendix B gives its construction and additional exclusion restrictions. Table 14 reports estimates for the same IPC samples and capital measure.

Table 14: Sensitivity using a markup-adjusted materials proxy

Outcome	Overall	Small	Large	Low	High
Labor-augmenting productivity	0.061***	0.053***	0.006	0.033***	0.055***
	(0.010)	(0.013)	(0.014)	(0.012)	(0.013)
Hicks-neutral productivity	0.039***	0.025**	0.005	0.016	0.025
	(0.014)	(0.013)	(0.011)	(0.010)	(0.018)
Log-markup transition	0.007**	0.013***	0.003	0.012***	−0.007
	(0.003)	(0.005)	(0.006)	(0.004)	(0.004)
ν	0.118	0.367	1.004	0.909	0.833
ρ_N	0.987	0.988	0.921	0.947	0.963
Draws at $\nu = 0.05$	107	39	41	6	8
Draws at $\rho_N = 0.995$	2	39	5	0	6
Observations	13,291	9,266	3,415	8,278	4,523
Firms	1,816	1,324	457	1,120	656

Notes: Firm-block-bootstrap standard errors are in parentheses, from 499 replications repeating all estimation stages. Stars use two-sided, unadjusted normal-reference tests: $^{***}p < 0.01$, $^{**}p < 0.05$, $^{*}p < 0.10$. Inference is conditional on the sample construction and instrument choices. This comparison uses the IPC composite-index sample and the alternative estimation order in Appendix B. It imposes $0.05 \leq \nu \leq 3$, $-0.95 \leq \rho_N \leq 0.995$, and capital elasticity at least 10^{-6} on the retained support. Capital curvature is estimated in all five groups. Normal-reference stars are not boundary-calibrated.

The materials-proxy specification preserves positive, significant labor-augmenting responses in the overall, small-firm, low-digital, and high-digital samples, while the large-firm response remains imprecise. The overall labor-augmenting coefficient is 0.061, compared with 0.055 in the baseline IPC specification in Table 7. Hicks-neutral responses are significant at the five percent level only in the overall and small-firm samples. The small-firm Hicks-neutral coefficient falls from 0.042 in the baseline to 0.025, while its variable-input scale parameter falls from 0.938

to 0.367. The corresponding overall scale parameter falls from 0.939 to 0.118. Thus, although several digitalization responses remain qualitatively similar, the estimated technology is sensitive to the alternative specification. Markup slopes are unchanged because the scale parameter enters the markup signal only through a constant absorbed by the transition intercept.

8 Policy Implications

The results suggest three implications for the evaluation of digital adoption.

First, evaluations should measure the channels separately. A single productivity measure estimated under perfect competition would understate the labor-efficiency gains from digitalization and overstate the Hicks-neutral gains. Because the two channels have different beneficiaries, this misclassification matters for judging who benefits from adoption. Labor-augmenting gains raise the marginal product of labor and therefore bear on wages and labor demand, whereas Hicks-neutral gains lower unit costs across all inputs. Our estimates also indicate that market power accounts for a small share of the response. The markup response is about one-eighth of the labor-augmenting response, which suggests that most of the measured gain reflects higher productive efficiency rather than higher margins.

Second, the gains from additional adoption are largest where adoption is lowest. Small firms show a significantly larger labor-augmenting response than large firms under both specifications, while large firms, which are the most digitalized, show no detectable labor-efficiency response. Support for digital adoption therefore has its clearest labor-efficiency payoff among small firms. Their responses are significant for IT technologies, digital human capital, and automation, so programmes that combine equipment with implementation assistance and IT training are consistent with the evidence. Among large firms the measurable response operates through Hicks-neutral productivity, which suggests that the case for support there rests on cost reduction rather than on labor efficiency.

Third, competition concerns about digitalization point to automation specifically. Automation is the only component with a significant markup response, while IT technologies, digital human capital, and stakeholder-facing technologies show none. The markup response is also significantly smaller in digitally intensive industries than in other industries, so higher markup levels in those industries are unlikely to be driven by further adoption. Competition authorities monitoring the effects of digitalization would therefore gain most from tracking automation adoption together with marginal costs and consumer prices, since a higher markup accompanied by lower marginal cost need not raise prices.

These implications rest on conditional relationships within the production framework. They identify which channels, firms, and technologies merit attention, but returns to a specific programme require evidence on its costs, on the additional adoption it induces, and on wages, employment, and prices.

9 Conclusion

This paper examines how digitalization affects firm performance through labor-augmenting productivity, Hicks-neutral productivity, and markups. We develop a sequential estimator that identifies technology from the quantity side before recovering markups. This approach distinguishes productivity gains from changes in pricing relative to marginal cost without imposing constant returns to scale or a particular model of competition. We develop a sequential estimator that identifies technology from the quantity side before recovering markups, so that the three channels can be separated without imposing constant returns to scale or a particular model of competition. Applying it to

Spanish manufacturing firms over 2000–2019, we find that the answer depends on whether market power is allowed. Under perfect competition, a one-point increase in the digitalization index raises Hicks-neutral productivity by 6.2% and labor-augmenting productivity by 3.7%. Under imperfect competition, the responses are 4.3% and 5.5%. On a common sample, this shift toward labor efficiency is significant, so the competitive benchmark understates the factor bias of digital technologies. Hicks-neutral productivity remains the larger contribution to output, but its lead narrows significantly once markups are accounted for.

The remaining results show where these gains arise. Market power accounts for a small part of the response, since the markup response is about one-eighth of the labor-augmenting response. Labor-efficiency gains are concentrated among small firms, while large firms, which are the most digitalized, show no detectable labor-augmenting response. The markup response is significantly smaller in digitally intensive industries, so higher markup levels in those industries need not reflect further adoption. Across technologies, IT, digital human capital, automation, and stakeholder-facing tools all raise labor efficiency, and automation is the only component that raises markups. The effects of digitalization therefore cannot be summarized by a single productivity measure, and attributing its gains requires separating factor-biased technology from market power.

These findings bear on the labor share because the two productivity channels affect it differently. Hicks-neutral gains leave relative factor demand unchanged, whereas labor-augmenting gains alter it in a direction that depends on the substitutability of labor and materials. The distinction connects our results to the discussion of labor-complementing technologies in Acemoglu et al. (2026). Our estimates concern productivity and markups at fixed inputs, so they do not yet measure how digitalization changes labor demand, wages, or prices. Combining the estimated technology with input-demand responses to quantify these effects is a natural next step.

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Appendix

A Distributions of Elasticities, Productivities and Markups

Table 15 summarizes the PC estimates. In the overall sample, mean output elasticities are 0.098 for capital, 0.235 for labor, and 0.637 for materials. Labor and materials elasticities sum to the estimated variable-input scale ν by construction. Their equal standard deviations follow from these identities rather than providing independent evidence about technology.

The final two columns of Table 15 report recovered log productivity after subtracting each sample's 2001 median. These are overall firm-year distributions relative to a common within-sample reference point. A negative observation is below that reference median. Labor-augmenting productivity has greater dispersion in its own log units than Hicks-neutral productivity, but these components enter output differently, so their dispersions are not directly comparable output contributions.

Table 15: PC elasticities and normalized productivity distributions

Sample	ε_K	ε_L	ε_M	$\widetilde{\omega}_L$	$\widetilde{\omega}_N$
Overall	0.098 (0.032) [0.073, 0.097, 0.123]	0.235 (0.126) [0.139, 0.214, 0.307]	0.637 (0.126) [0.565, 0.658, 0.732]	0.094 (0.445) [-0.205, 0.101, 0.376]	0.044 (0.194) [-0.061, 0.062, 0.168]
Small firms	0.078 (0.026) [0.059, 0.078, 0.099]	0.254 (0.133) [0.153, 0.235, 0.335]	0.617 (0.133) [0.536, 0.636, 0.718]	0.174 (0.429) [-0.125, 0.177, 0.462]	0.059 (0.186) [-0.049, 0.076, 0.180]
Large firms	0.113 (0.011) [0.105, 0.112, 0.119]	0.187 (0.089) [0.118, 0.181, 0.238]	0.689 (0.089) [0.638, 0.695, 0.757]	0.034 (0.387) [-0.214, 0.016, 0.257]	0.075 (0.170) [-0.025, 0.075, 0.175]
Low-digital industries	0.106 (0.035) [0.078, 0.105, 0.133]	0.225 (0.132) [0.125, 0.200, 0.297]	0.647 (0.132) [0.575, 0.673, 0.747]	0.095 (0.480) [-0.226, 0.088, 0.396]	0.048 (0.207) [-0.061, 0.072, 0.178]
High-digital industries	0.078 (0.020) [0.061, 0.076, 0.094]	0.249 (0.110) [0.169, 0.234, 0.314]	0.624 (0.110) [0.560, 0.640, 0.704]	0.140 (0.383) [-0.114, 0.150, 0.396]	0.044 (0.184) [-0.066, 0.058, 0.167]

Notes: Cells show mean (SD) and [P25, median, P75]. Productivity is centered on the median of the first estimation year in each sample. The materials inversion and output-minus-transitory-shock recovery of Hicks productivity agree to numerical precision after consistent measurement of expenditures, prices, and quantities.

Tables 16 and 17 report IPC distributions. They follow the format of Table 15. The first reports input elasticities and log productivities. The second reports smoothed normalized markups in logs and levels. Standard deviations in these appendix tables describe dispersion across firm-years. They are not bootstrap standard errors.

Table 16: IPC elasticities and normalized productivity distributions

Sample	ε_K	ε_L	ε_M	$\widetilde{\omega}_L$	$\widetilde{\omega}_N$
Overall	0.039 (0.008) [0.033, 0.039, 0.045]	0.249 (0.134) [0.148, 0.227, 0.325]	0.689 (0.134) [0.613, 0.712, 0.791]	0.122 (0.469) [-0.200, 0.111, 0.425]	0.067 (0.142) [-0.021, 0.057, 0.149]
Small firms	0.034 (0.006) [0.029, 0.034, 0.038]	0.271 (0.142) [0.164, 0.249, 0.355]	0.667 (0.142) [0.582, 0.689, 0.774]	0.157 (0.441) [-0.146, 0.142, 0.435]	0.067 (0.141) [-0.020, 0.056, 0.146]
Large firms	0.042 (0.032) [0.023, 0.045, 0.065]	0.203 (0.097) [0.129, 0.197, 0.259]	0.758 (0.097) [0.702, 0.764, 0.832]	0.016 (0.370) [-0.239, 0.013, 0.256]	0.064 (0.138) [-0.029, 0.051, 0.143]
Low-digital industries	0.037 (0.008) [0.031, 0.037, 0.043]	0.238 (0.140) [0.132, 0.212, 0.315]	0.702 (0.140) [0.625, 0.729, 0.809]	0.138 (0.507) [-0.218, 0.116, 0.476]	0.068 (0.148) [-0.024, 0.055, 0.151]
High-digital industries	0.031 (0.002) [0.030, 0.031, 0.033]	0.269 (0.118) [0.183, 0.252, 0.338]	0.682 (0.118) [0.612, 0.699, 0.768]	0.112 (0.374) [-0.137, 0.125, 0.365]	0.072 (0.128) [-0.008, 0.065, 0.149]

Notes: Cells show mean (SD) and [P25, median, P75] across unweighted firm-year observations; parentheses contain distributional standard deviations. Quartiles use the same median-unbiased convention as Table 15. The overall, small, large, low-digital, and high-digital samples contain 13,291, 9,266, 3,415, 8,278, 4,523 observations, respectively. Estimates use the composite digitalization index and lagged-capital instruments.

Table 17: IPC normalized markup distributions

Sample	$\widehat{\widetilde{m}}^{\mu}$	$\exp(\widehat{\widetilde{m}}^{\mu})$
Overall	0.067 (0.086) [0.008, 0.046, 0.101]	1.073 (0.104) [1.008, 1.047, 1.107]
Small firms	0.066 (0.085) [0.008, 0.045, 0.100]	1.072 (0.100) [1.008, 1.046, 1.105]
Large firms	0.088 (0.095) [0.027, 0.063, 0.118]	1.097 (0.120) [1.028, 1.065, 1.126]
Low-digital industries	0.068 (0.086) [0.008, 0.047, 0.105]	1.075 (0.101) [1.008, 1.048, 1.111]
High-digital industries	0.081 (0.081) [0.027, 0.061, 0.111]	1.088 (0.095) [1.027, 1.063, 1.118]

Notes: Cells show mean (SD) and [P25, median, P75] across unweighted firm-year observations; parentheses contain distributional standard deviations. Quartiles use the same median-unbiased convention as Table 15. The overall, small, large, low-digital, and high-digital samples contain 13,291, 9,266, 3,415, 8,278, 4,523 observations, respectively. Estimates use the composite digitalization index and lagged-capital instruments. Here $\widetilde{m}^{\mu}_{it} = \ln \mu_{it} - \ln \theta$. Columns report smoothed normalized log markup and its exponential, the markup relative to the common scale θ.

B Robustness Check Using Lagged Materials Demand as the Hicks-Neutral Proxy

The sensitivity specification uses a materials-demand proxy for lagged Hicks-neutral productivity. Its markup-forecast correction is an additional construction. It begins with the labor-productivity block, estimates the markup forecast next, and then estimates Hicks-neutral technology. This order differs from the main IPC sequence. The production technology and markup definition are maintained.

B.1 Materials-demand inversion under IPC

Following the materials-demand approach discussed by Malikov et al. (2024), this sensitivity specification constructs a proxy for lagged Hicks-neutral productivity and adds the markup-forecast correction derived below.

Let $w^M_{it} \equiv \ln W^M_{it}$, $p_{it} \equiv \ln P_{it}$, and $\mathfrak{m}_{it} \equiv \ln \mu_{it}$. The materials first-order condition can be written in logs as

$$w^M_{it} - p_{it} = \ln \theta - \mathfrak{m}_{it} + \ln \varepsilon^M_{it} + \ln F(K_{it}, L^*_{it}, M_{it}) + \omega_{N,it} - m_{it}, \tag{75}$$

where $\varepsilon^M_{it} = \nu SC^M_{it}$ from the share identities. The constant $\ln \theta$ is retained separately from κ_0; it is carried explicitly here to keep the derivation transparent. η_{it} does not enter this condition because it affects measured output and

revenue, not the productivity state observed by the firm. From equation (19), $\varepsilon^{*}_{M,it} = \nu SC^{M}_{it}$, where $SC^{M}_{it} = 1 - SC^{L}_{it}$. Define the scale-free materials-demand index

$$\mathcal{M}^{*}_{it}\Big(\nu, \frac{\nu}{\delta}\Big) \equiv (w^{M}_{it} - p_{it}) - \ln SC^{M}_{it} + (1-\nu)m_{it} + \left(\frac{\nu^2}{2\delta}\right)(SC^{L}_{it})^2. \tag{76}$$

Substitution of the reduced restricted translog technology in equation (20) into equation (75) gives

$$\mathcal{M}^{*}_{it}\Big(\nu, \frac{\nu}{\delta}\Big) = \kappa_0 + \beta_K k_{it} + \frac{1}{2}\beta_{KK}k^2_{it} + \omega_{N,it} - \mathfrak{m}_{it} + \ln\nu + \ln\theta. \tag{77}$$

Thus, under IPC, raw materials demand identifies Hicks-neutral productivity net of the log markup. Treating $m_{i,t-1}$ one-for-one as $\omega_{N,i,t-1}$ would impose an incorrect scale and load persistent markup variation into productivity.

The required markup correction follows from the maintained markup block. Because $R_{it} = \theta\nu\mu^{-1}_{it}e^{-\eta_{it}}$, define the scale-free observed log-markup measure

$$b_{it} \equiv -\ln R_{it} = \mathfrak{m}_{it} + \eta_{it} - \ln\nu - \ln\theta. \tag{78}$$

Adding a constant to the dependent variable of equation (63) changes only its intercept. Consequently, b_{it} follows the same transition with intercept $\pi_b = \pi_\mu - (1-\rho_\mu)\ln(\theta\nu)$ and unchanged slopes (ρ_μ, γ_μ). Because $\ln\mu_{i,t-1}$ is latent and the observed $b_{i,t-1}$ contains $\eta_{i,t-1}$, it cannot serve as its own instrument. We estimate the observed-signal transition using a constant, $b_{i,t-2}$, and predetermined digitalization as instruments, and then form the one-step forecast

$$\widehat{b}_{i,t-1|t-2} = \widehat{\pi}_b + \widehat{\rho}_\mu(-\ln R_{i,t-2}) + \widehat{\gamma}_\mu D_{i,t-2}. \tag{79}$$

The lagged materials-demand proxy for the location-normalized Hicks-neutral state is

$$\mathcal{H}^{M}_{i,t-1}\Big(\boldsymbol{\Theta}, \frac{\nu}{\delta}\Big) \equiv \mathcal{M}^{*}_{i,t-1}\Big(\nu, \frac{\nu}{\delta}\Big) - \beta_K k_{i,t-1} - \frac{1}{2}\beta_{KK}k^2_{i,t-1} + \widehat{b}_{i,t-1|t-2}. \tag{80}$$

Under a correctly specified markup transition, $\mathcal{H}^{M}_{i,t-1} = \kappa_0 + \omega_{N,i,t-1} + e^{M}_{i,t-1}$, where $e^{M}_{i,t-1}$ combines the lagged transitory output shock $\eta_{i,t-1}$ and the negative of the markup-forecast error. The constant κ_0 is absorbed by the dynamic intercept below.

B.2 Alternative sequential nonlinear-GMM block

Substituting equation (80) for the lagged state in equation (48) gives the robustness-check residual

$$\begin{aligned} u^{M}_{n,it}(\boldsymbol{\Theta}) = y_{it} - \pi_0 - \beta_K k_{it} - \frac{1}{2}\beta_{KK}k^2_{it} - \nu m_{it} + \frac{\nu}{2}\widehat{\Big(\frac{\nu}{\delta}\Big)}(SC^{L}_{it})^2 \\ - \rho_N \mathcal{H}^{M}_{i,t-1}\left(\boldsymbol{\Theta}, \widehat{\Big(\frac{\nu}{\delta}\Big)}\right) - \gamma_N D_{i,t-1}, \qquad \pi_0 = \pi_N + (1-\rho_N)\kappa_0. \end{aligned} \tag{81}$$

As in the main IPC specification, the location of the recovered Hicks-neutral composite is fixed by setting its first-estimation-year median to zero. This normalization does not recover the primitive production-function parameters.

The composite disturbance is $\xi_{N,it} + \eta_{it} - \rho_N e^{M}_{i,t-1}$. Relative to the benchmark dynamic production equation, lagged observed output no longer appears directly. The generated markup-forecast error enters instead. Conditional on the labor-block estimate of ν/δ, estimate $(\pi_0, \beta_K, \beta_{KK}, \nu, \rho_N, \gamma_N)'$ by two-step nonlinear GMM using

$$\mathbb{E}\big[\mathbf{Z}^M_{n,it} u^M_{n,it}(\boldsymbol{\Theta}_0)\big] = \mathbf{0}, \tag{82}$$

where the baseline instrument vector is

$$\mathbf{Z}^M_{n,it} = \left(1, D_{i,t-1}, m_{i,t-1}, k_{it}, k^2_{it}, p^M_{i,t-1} - p_{i,t-1}\right)'. \tag{83}$$

Capital dated t is predetermined by assumption. The lagged variable inputs and relative input price instrument the current static choices and the materials-demand state.

The alternative estimation is sequential. We first estimate the labor-productivity block using equations (59)–(61). We then estimate the markup transition and construct the forecast in equation (79). Finally, we estimate the Hicks-neutral block in equation (82) and adjust the markup intercept using the estimated technology scale. Each firm-block bootstrap replication repeats this alternative sequence. The estimation samples are the same as in the main IPC comparison. Output and materials price indices are winsorized at the 2.5th and 97.5th percentiles.

B.3 Identification conditions

The robustness check requires an interior materials choice, $\nu SC^M_{it} > 0$, correct measurement of relative materials prices, and price taking in the materials market. The fitted markup forecast must remove the conditional markup component of materials demand, and its forecast error must be orthogonal to the instruments in equation (83). Lagged digitalization must not shift materials demand directly after conditioning on Hicks-neutral productivity, the markup process, and the included state variables. These are additional assumptions rather than consequences of using a lag. If they fail, γ_N combines technological adoption with an omitted input-demand or markup channel.

C Signal Extraction for Hicks-Neutral Productivity and Markups

This appendix describes Stage 4 of the baseline IPC implementation. It produces the smoothed states used in Table 11, Figure 1, and Appendix A. It does not enter the preceding structural GMM estimates. We first derive the univariate markup restrictions and then the bivariate restrictions for the Hicks-neutral and markup signals. The decomposition requires additional second-moment assumptions.

C.1 State and measurement equations

Define

$$\widetilde{RR}_{it} \equiv \ln \widehat{\nu} - \ln R_{it}.$$

Ignoring first-step estimation error in $\widehat{\nu}$ for exposition, equations (63) and (64) imply the state-space representation

$$\text{state:} \qquad \widetilde{m}^{\mu}_{it} = \widetilde{\pi}_{\mu} + \rho_{\mu} \widetilde{m}^{\mu}_{i,t-1} + \gamma_{\mu} D_{i,t-1} + \xi_{\mu,it}, \tag{84}$$

$$\text{measurement:} \qquad \widetilde{RR}_{it} = \widetilde{m}^{\mu}_{it} + \eta_{it}, \tag{85}$$

where $\widetilde{m}^{\mu}_{it} \equiv \ln \mu_{it} - \ln \theta$ is the log markup normalized relative to $\ln \theta$. Because θ is constant, this normalization changes only the transition intercept: $\widetilde{\pi}_{\mu} = \pi_{\mu} - (1 - \rho_{\mu}) \ln \theta$. The persistence parameter, the digitalization effect,

and the innovation are unchanged. Hence the Stage 3 composite disturbance is

$$u_{\mu,it} = \xi_{\mu,it} + \eta_{it} - \rho_\mu \eta_{i,t-1}. \tag{86}$$

Identification of the two components comes instead from their distinct serial covariance pattern.

C.2 Variance identification

Let

$$\sigma_\xi^2 \equiv \mathrm{Var}(\xi_{\mu,it}), \qquad \sigma_\eta^2 \equiv \mathrm{Var}(\eta_{it}),$$

with both variances constant within an estimation sample.

Assumption C.1(Second-moment restrictions). The sequences $\{\xi_{\mu,it}\}$ and $\{\eta_{it}\}$ have mean zero and are serially uncorrelated. They are mutually orthogonal at all leads and lags used below. Their variances are finite and constant within the estimation sample. In addition,

$$0 < |\rho_\mu| < 1.$$

The restriction $\rho_\mu \neq 0$ is needed to identify σ_η^2 from the first-order autocovariance. Values of $|\rho_\mu|$ close to zero imply weak variance separation in finite samples.

Proposition C.1(Variance separation). Under Assumption C.1 and the Stage 3 transition,

$$\mathrm{Var}(u_{\mu,it}) = \sigma_\xi^2 + (1+\rho_\mu^2)\sigma_\eta^2, \tag{87}$$

$$\mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-1}) = -\rho_\mu \sigma_\eta^2, \tag{88}$$

$$\mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-h}) = 0, \qquad h \geq 2. \tag{89}$$

Proof. Using equation (86),

$$u_{\mu,it} = \xi_{\mu,it} + \eta_{it} - \rho_\mu \eta_{i,t-1}.$$

The variance result follows because the three terms are pairwise orthogonal under Assumption C.1. For the lag-one covariance, the only nonzero cross-product is generated by $\eta_{i,t-1}$, which enters $u_{\mu,it}$ with effect $-\rho_\mu$ and $u_{\mu,i,t-1}$ with effect one. This gives

$$\mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-1}) = -\rho_\mu \sigma_\eta^2.$$

At lags $h \geq 2$, the two composite disturbances contain no common transitory-shock term, and all remaining cross-products are zero by Assumption C.1. This gives equation (89). □

Because $\rho_\mu \neq 0$, equations (87) and (88) identify the two disturbance variances:

$$\sigma_\eta^2 = -\frac{\mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-1})}{\rho_\mu}, \tag{90}$$

$$\sigma_\xi^2 = \mathrm{Var}(u_{\mu,it}) - (1+\rho_\mu^2)\sigma_\eta^2. \tag{91}$$

The sample counterparts are

$$\widehat{\sigma_\eta^2} = -\frac{\widehat{\mathrm{Cov}}(\hat{u}_{\mu,it}, \hat{u}_{\mu,i,t-1})}{\hat{\rho}_\mu}, \tag{92}$$

$$\widehat{\sigma_\xi^2} = \widehat{\mathrm{Var}}(\hat{u}_{\mu,it}) - (1+\hat{\rho}_\mu^2)\widehat{\sigma_\eta^2}. \tag{93}$$

Equation (89) provides overidentifying specification checks. In particular, the sample autocovariances of $\hat{u}_{\mu,it}$ at lags two and above should be close to zero. A sizable higher-order autocovariance indicates misspecification of the AR(1) markup process, serial correlation in η_{it}, or both.

The variance estimates must also satisfy

$$\widehat{\sigma_\eta^2} \geq 0, \qquad \widehat{\sigma_\xi^2} \geq 0.$$

Negative sample estimates indicate that the maintained second-moment restrictions are not supported by that sample. In that case, the signal-extraction step should not be imposed mechanically.

C.3 Kalman filtering and smoothing

Given

$$(\widehat{\widetilde{\pi}}_\mu, \hat{\rho}_\mu, \hat{\gamma}_\mu, \widehat{\sigma_\eta^2}, \widehat{\sigma_\xi^2}),$$

equations (84)–(85) form a linear state-space model. The filtering and smoothing are carried out separately for each firm and, in the baseline implementation, separately for each consecutive-year spell. This avoids treating a multi-year gap as a one-period transition. If missing calendar years are retained instead, the transition matrix and accumulated state-innovation variance must be adjusted for the length of the gap.

Let $x_{t|s}$ denote the linear projection of $\widetilde{m}_{it}^{\mu}$ using information through period s, and let $P_{t|s}$ denote its mean-squared prediction error. We use diffuse initialization for the first observation of each consecutive spell. The standard Kalman recursions shown below apply after this initialization step:

$$x_{t|t-1} = \widehat{\widetilde{\pi}}_\mu + \hat{\rho}_\mu x_{t-1|t-1} + \hat{\gamma}_\mu D_{i,t-1}, \qquad P_{t|t-1} = \hat{\rho}_\mu^2 P_{t-1|t-1} + \widehat{\sigma_\xi^2}, \tag{94}$$

$$K_t = \frac{P_{t|t-1}}{P_{t|t-1} + \widehat{\sigma_\eta^2}}, \qquad x_{t|t} = x_{t|t-1} + K_t\big(\widetilde{RR}_{it} - x_{t|t-1}\big), \tag{95}$$

$$P_{t|t} = (1-K_t)P_{t|t-1}. \tag{96}$$

Because the sample is historical rather than a real-time forecasting exercise, we use the Rauch–Tung–Striebel smoother after the forward pass. For $t = T-1, \ldots, 1$,

$$J_t = \frac{P_{t|t}\hat{\rho}_\mu}{P_{t+1|t}}, \qquad x_{t|T} = x_{t|t} + J_t\big(x_{t+1|T} - x_{t+1|t}\big), \tag{97}$$

$$P_{t|T} = P_{t|t} + J_t^2\big(P_{t+1|T} - P_{t+1|t}\big). \tag{98}$$

The recursion is initialized at the final filtered values $x_{T|T}$ and $P_{T|T}$.

The smoothed predictor of the transitory output shock is

$$\widehat{\eta}_{it} = \widetilde{RR}_{it} - x_{t|T}. \tag{99}$$

C.4 Recovering Hicks-neutral productivity

The main IPC estimator recovers the composite

$$\widehat{(\omega_{N,it} + \eta_{it})}$$

from equations (54)–(55). The signal-extraction step yields the firm-year predictor

$$\widehat{\omega}^{SE}_{N,it} = \widehat{(\omega_{N,it} + \eta_{it})} - \widehat{\eta}_{it}. \tag{100}$$

C.5 Extension: joint identification of Hicks-neutral productivity and the markup

The main IPC model has two persistent states, Hicks-neutral productivity and the log markup, sharing the transitory shock through equations (55) and (64). This subsection extends the univariate restrictions to their joint state-space decomposition. It formalizes the supplementary firm-year predictions; the structural estimates and dominance-gap tests are obtained without this step.

Let $u_{N,it} \equiv H_{it} - \pi_N - \rho_N H_{i,t-1} - \gamma_N D_{i,t-1}$ and $u_{\mu,it} \equiv \widetilde{RR}_{it} - \widetilde{\pi}_\mu - \rho_\mu \widetilde{RR}_{i,t-1} - \gamma_\mu D_{i,t-1}$ denote the two quasi-differenced residuals implied by equations (70)–(71). Direct substitution gives

$$u_{N,it} = \xi_{N,it} + \eta_{it} - \rho_N \eta_{i,t-1}, \qquad u_{\mu,it} = \xi_{\mu,it} + \eta_{it} - \rho_\mu \eta_{i,t-1}. \tag{101}$$

The first of these is equation (50).

Assumption C.2 (Bivariate second-moment restrictions). In addition to Assumption C.1 applied separately to each of $\{\xi_{N,it}\}$ and $\{\xi_{\mu,it}\}$, the two innovation sequences may be contemporaneously correlated, with $\sigma_{\xi_N\xi_\mu} \equiv \mathrm{Cov}(\xi_{N,it}, \xi_{\mu,it})$ finite and constant within the estimation sample, but are otherwise mutually orthogonal at all leads and lags. In addition, $\rho_N \neq 0$ and $\rho_\mu \neq 0$.

Proposition C.2 (Bivariate variance and covariance identification). Under Assumption C.2,

$$\mathrm{Var}(u_{N,it}) = \sigma^2_{\xi_N} + (1 + \rho_N^2)\sigma^2_\eta, \tag{102}$$

$$\mathrm{Var}(u_{\mu,it}) = \sigma^2_{\xi_\mu} + (1 + \rho_\mu^2)\sigma^2_\eta, \tag{103}$$

$$\mathrm{Cov}(u_{N,it}, u_{N,i,t-1}) = -\rho_N \sigma^2_\eta, \tag{104}$$

$$\mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-1}) = -\rho_\mu \sigma^2_\eta, \tag{105}$$

$$\mathrm{Cov}(u_{N,it}, u_{\mu,it}) = \sigma_{\xi_N\xi_\mu} + (1 + \rho_N\rho_\mu)\sigma^2_\eta, \tag{106}$$

$$\mathrm{Cov}(u_{N,it}, u_{\mu,i,t-1}) = -\rho_N \sigma^2_\eta, \qquad \mathrm{Cov}(u_{\mu,it}, u_{N,i,t-1}) = -\rho_\mu \sigma^2_\eta, \tag{107}$$

$$\mathrm{Cov}(u_{N,it}, u_{\mu,i,t-2}) = 0, \qquad \mathrm{Cov}(u_{N,it}, u_{N,i,t-2}) = 0, \qquad \mathrm{Cov}(u_{\mu,it}, u_{\mu,i,t-2}) = 0. \tag{108}$$

Proof. Equations (102) and (104) restate Proposition C.1 for the Hicks-neutral signal; the argument is unchanged, so we verify only the new cross-equations. Expand $u_{N,it} = \xi_{N,it} + \eta_{it} - \rho_N \eta_{i,t-1}$ and $u_{\mu,it} = \xi_{\mu,it} + \eta_{it} - \rho_\mu \eta_{i,t-1}$: every cross-product involving two different-period ξ's, two different-period η's, or a ξ and an η at any lag vanishes under Assumption C.2. For (106), $u_{N,it}$ and $u_{\mu,it}$ share η_{it} with effect 1 in both, contributing σ^2_η; $\xi_{N,it}$ and $\xi_{\mu,it}$ are contemporaneously correlated, contributing $\sigma_{\xi_N\xi_\mu}$; and the lagged terms $-\rho_N\eta_{i,t-1}$, $-\rho_\mu\eta_{i,t-1}$ share $\eta_{i,t-1}$,

contributing $\rho_N \rho_\mu \sigma_\eta^2$. Summing gives the stated expression. For (107), the only shared term between $u_{N,it}$ and $u_{\mu,i,t-1}$ (respectively $u_{\mu,it}$ and $u_{N,i,t-1}$) is $\eta_{i,t-1}$, entering with effect $-\rho_N$ (respectively $-\rho_\mu$) in the current residual and effect 1 in the lagged one. Equation (108) holds because, at a two-period separation, no ξ or η term is shared under serial independence. □

Identification. Equations (104) and (105) each identify σ_η^2 directly from a single signal's own lag-one autocovariance, exactly as in the univariate case; equations (107) give two further, distinct routes to the same parameter using the *cross*-covariance between the two signals. This is the sense in which having two signals rather than one strengthens identification: σ_η^2 is overidentified, recoverable four different ways, and the requirement that all four estimates agree is a testable specification check in addition to the three lag-two restrictions in (108). Given any consistent estimate of σ_η^2, equations (102) and (103) identify $\sigma_{\xi_N}^2$ and $\sigma_{\xi_\mu}^2$, and equation (106) identifies $\sigma_{\xi_N \xi_\mu}$.

As in the univariate case, these moment conditions identify the second moments the Kalman filter requires; they do not by themselves establish that $\xi_{N,it}$, $\xi_{\mu,it}$, and η_{it} are jointly Gaussian. Absent that additional assumption, the smoothed predictions in equation (72) are the minimum-mean-squared-error *linear* predictors of $\omega_{N,it}$ and $\widetilde{m}_{it}^{\mu}$ given the two signals, used for the reported state-space decomposition; they need not equal the conditional means unless Gaussianity is also assumed.

C.6 Implementation and interpretation

Several qualifications are important. First, the variance decomposition is credible only when the estimated variance components are nonnegative and the higher-order residual autocovariances are small. Second, variance separation becomes weak when ρ_μ is close to zero. Third, the homoskedastic specification can be relaxed, but then the filtering equations must use the corresponding firm- or time-varying disturbance variances. Fourth, the procedure should be applied to consecutive-year spells unless the state transition is adjusted explicitly for gaps in the panel.

Uncertainty in statistics constructed from the recovered states is assessed by a firm-block bootstrap repeating Hicks-neutral estimation, conditional labor estimation, markup estimation, variance estimation, filtering, and smoothing. The reported decomposition is part of the baseline implementation, but its interpretation remains conditional on the covariance restrictions. Under zero-mean conditional Gaussian η, the maintained variance estimate also supplies $\theta = \exp(\sigma_\eta^2/2)$. Without that shape assumption, second moments alone do not identify this exponential expectation.

D Variable Definitions

- **Investment (I_{it}):** The value of current-period investment in equipment goods, excluding buildings, land, and financial assets. Investment made in period t becomes productive in period $t+1$.
- **Capital (K_{it}):** Real capital constructed by the perpetual inventory recursion and industry–size initialization described in Section 3, using reported real net capital when available and an annual depreciation rate d_K of 0.15.
- **Labor (L_{it}):** Total hours worked by all employees of the firm in year t.
- **Materials (M_{it}):** The real value of intermediate consumption, comprising raw materials, energy, and purchased services. Nominal intermediate consumption expenditures are deflated by a firm-specific intermediate consumption price index constructed from price variations reported in the ESEE.

- **Output (Y_{it}):** The real value of goods and services produced, obtained by deflating nominal production values by a firm-specific output price index constructed using the Paasche index formula.
- **Nominal output and the variable-cost ratio:** $P_{it}^{Y}Y_{it}$ is nominal goods-and-services production, the denominator used in the model's expenditure shares. The symbol R_{it} denotes total labor and materials expenditure divided by nominal output, not nominal sales.
- **Wage ($W_{L,it}$):** The hourly wage rate, defined as total labor compensation divided by total effective hours worked.
- **Output Price Index (P_{it}^{Y}):** A firm-specific Paasche price index constructed from price variations of output sales reported in the ESEE, following the methodology of Jaumandreu and Lin (2018).
- **Materials Price Index (P_{it}^{M}):** A firm-specific Paasche price index constructed from price variations of intermediate consumption reported in the ESEE.
- **Labor share ($s_{L,it}$):** The ratio of total labor compensation to total revenue, $s_{L,it} \equiv W_{L,it}L_{it}/(P_{it}Y_{it})$. It is revenue-denominated and therefore differs from the value-added labor share.
- Materials share ($s_{M,it}$): The ratio of total materials expenditure to total revenue, $s_{M,it} \equiv W_{M,it}M_{it}/(P_{it}Y_{it})$.

E Digitalization Index

Table 18: Variables used to construct the digitalization index

Dimension	Variable	Definition
Automation	Use of robots	Whether the company uses robots in the production process (Yes/No)
	Use of CNC machine tools	Whether the company uses computer numerically controlled machine tools in the production process (Yes/No)
	Use of computer-aided design	Whether the company makes use of computer-assisted design (Yes/No)
	Use of flexible systems	Whether the company combines machine tools controlled by computer, robotics, and/or CAD through a mainframe computer (Yes/No)
	Use of LAN	Whether the company uses a local area network in its manufacturing activities (Yes/No)
Interactions with stakeholders	Ownership of internet domain	Whether the company has its own internet domain (Yes/No)
	Ownership of a webpage	Whether the company's web page is stored on its own servers (Yes/No/NA)
	Sales to companies via internet	Availability of a sales system for other companies through internet (Yes/No/NA)
	Sales to final consumer via internet	Availability of a sales system for final customers through internet (Yes/No/NA)
	Purchases from suppliers online	Whether goods or services are purchased through the internet (Yes/No/NA)
Digital-related human capital	External expenditure on IT training	Value of external expenditure on employee training in computing and information technologies (Euros)

Dimension	Variable	Definition
IT technologies	Investment in computer equipment	Share of purchases of information processing equipment in total tangible fixed asset purchases (%)
	Hiring of software programming	Whether the company contracts out software-programming services (Yes/No)

Notes: The global index contains the 13 variables shown. ESEE adoption codes are recoded as 1 for Yes and 0 for No; non-response codes are treated as missing before aggregation. Computer-equipment investment is converted from a percentage of total capital-goods investment into an absolute flow before capitalization. Computer-equipment investment and IT-training expenditure are capitalized with 15% depreciation. Quadrennial indicators are carried forward within firms for at most three years. Section 3.1 describes scaling, normalization, and the treatment of missing components at aggregation.